

Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2018



Hilltops Council

General Purpose Financial Statements for the year ended 30 June 2018

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Overview

Hilltops Council is constituted under the *Local Government Act 1993 (NSW)* and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note 2(b).

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2018

Statement by Councillors and Management

made pursuant to Section 413(2)(c) of the *Local Government Act 1993 (NSW)* (as amended)

The attached General Purpose Financial Statements have been prepared in accordance with:

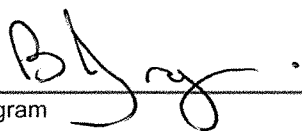
- the *Local Government Act 1993 (NSW)* (as amended) and the regulations made thereunder;
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board and;
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these financial statements:

- present fairly the Council's operating result and financial position for the year,
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 12 December 2018.



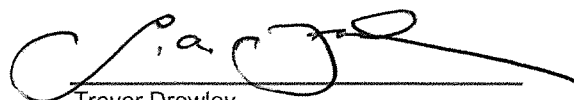
Brian Ingram
Mayor
13 September 2019



John Walker
Councillor
13 September 2019



Dr Edwina Marks
General Manager
13 September 2019



Trevor Drowley
Responsible Accounting Officer
13 September 2019

Hilltops Council

Income Statement

for the year ended 30 June 2018

Original unaudited budget 2018	\$ '000	Notes	Actual 2018	Actual 13/5/16 to 30/6/17
Income from continuing operations				
Revenue:				
20,537	Rates and annual charges	3a	21,393	20,913
14,275	User charges and fees	3b	12,017	14,055
977	Interest and investment revenue	3c	1,457	1,754
2,497	Other revenues	3d	748	1,141
9,822	Grants and contributions provided for operating purposes	3e,f	17,482	28,309
1,967	Grants and contributions provided for capital purposes	3e,f	4,347	18,742
Other income:				
–	Net gains from the disposal of assets	5	550	469
50,075	Total income from continuing operations		57,994	85,383
Expenses from continuing operations				
17,790	Employee benefits and on-costs	4a	20,239	19,852
991	Borrowing costs	4b	1,164	6,318
20,052	Materials and contracts	4c	15,524	19,802
13,573	Depreciation and amortisation	4d	15,848	15,959
5,031	Other expenses	4e	4,966	6,554
–	Revaluation decrement / impairment of IPP&E	4d	299	15,131
57,437	Total expenses from continuing operations		58,040	83,616
(7,362)	Net operating result for the year		(46)	1,767
Gain on local government amalgamation				
–	Assets and liabilities transferred from former councils		–	566,681
(7,362)	Net result for the year		(46)	568,448
(7,362)	Net result attributable to Council		(46)	568,448
Net operating result for the year before grants and contributions provided for capital purposes				
(9,329)			(4,393)	(16,975)

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2018

\$ '000	Notes	2018	13/5/16 to 30/6/17
Net result for the year (as per Income Statement)		(46)	568,448
Other comprehensive income:			
Amounts that will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of IPP&E	9a	20,730	—
Total items which will not be reclassified subsequently to the operating result		20,730	—
Total other comprehensive income for the year		20,730	—
Total comprehensive income for the year		20,684	568,448
Total comprehensive income attributable to Council		20,684	568,448

Hilltops Council

Statement of Financial Position as at 30 June 2018

\$ '000	Notes	2018	2017
ASSETS			
Current assets			
Cash and cash equivalents	6a	28,663	13,542
Investments	6b	21,315	41,453
Receivables	7	9,656	9,532
Inventories	8	1,090	725
Other	8	1	73
Total current assets		60,725	65,325
Non-current assets			
Infrastructure, property, plant and equipment	9	563,109	539,522
Total non-current assets		563,109	539,522
TOTAL ASSETS		623,834	604,847
LIABILITIES			
Current liabilities			
Payables	10	6,467	3,345
Income received in advance	10	454	477
Borrowings	10	1,344	1,572
Provisions	11	6,633	6,467
Total current liabilities		14,898	11,861
Non-current liabilities			
Payables	10	555	111
Borrowings	10	11,865	17,421
Provisions	11	7,384	7,006
Total non-current liabilities		19,804	24,538
TOTAL LIABILITIES		34,702	36,399
Net assets		589,132	568,448
EQUITY			
Accumulated surplus	12	568,402	568,448
Revaluation reserves	12	20,730	—
Total equity		589,132	568,448

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2018

\$ '000	Notes	2018	IPP&E	Total equity	13/5/16 to 30/6/17	IPP&E	Total equity
		Accumulated surplus	revaluation reserve		Accumulated surplus	revaluation reserve	
Opening balance		568,448	–	568,448	–	–	–
Net result for the year prior to correction of errors and changes in accounting policies		(46)	–	(46)	568,448	–	568,448
Net result for the year		(46)	–	(46)	568,448	–	568,448
Other comprehensive income							
– Gain (loss) on revaluation of IPP&E	9a	–	20,730	20,730	–	–	–
Other comprehensive income		–	20,730	20,730	–	–	–
Total comprehensive income (c&d)		(46)	20,730	20,684	568,448	–	568,448
Equity – balance at end of the reporting period		568,402	20,730	589,132	568,448	–	568,448

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2018

Original unaudited budget 2018	\$ '000	Notes	Actual 2018	Actual 13/5/16 to 30/6/17
Cash flows from operating activities				
Receipts:				
20,538	Rates and annual charges		21,189	23,581
14,275	User charges and fees		11,633	16,669
977	Investment and interest revenue received		1,633	1,618
15,490	Grants and contributions		24,580	46,114
–	Bonds, deposits and retention amounts received		25	–
2,498	Other		1,157	4,259
Payments:				
(17,705)	Employee benefits and on-costs		(19,313)	(20,169)
(19,697)	Materials and contracts		(16,543)	(23,424)
(942)	Borrowing costs		(816)	(1,263)
(5,103)	Other		(4,140)	(7,187)
10,331	Net cash provided (or used in) operating activities	13b	19,405	40,198
Cash flows from investing activities				
Receipts:				
–	Sale of investment securities		20,138	–
–	Sale of real estate assets		216	–
(733)	Sale of infrastructure, property, plant and equipment		1,222	1,238
–	Deferred debtors receipts		4	91
Payments:				
–	Purchase of investment securities		–	(15,955)
(28,878)	Purchase of infrastructure, property, plant and equipment		(20,025)	(22,511)
–	Purchase of real estate assets		(55)	–
(29,611)	Net cash provided (or used in) investing activities		1,500	(37,137)
Cash flows from financing activities				
Receipts:				
–	Proceeds from borrowings and advances		–	3,800
Payments:				
(663)	Repayment of borrowings and advances		(5,784)	(2,428)
(663)	Net cash flow provided (used in) financing activities		(5,784)	1,372
(19,943)	Net increase/(decrease) in cash and cash equivalents		15,121	4,433
61,431	Plus: cash and cash equivalents – beginning of year	13a	13,542	–
–	Plus: cash transferred on amalgamation of councils		–	9,109
41,488	Cash and cash equivalents – end of the year	13a	28,663	13,542
Additional Information:				
plus:	Investments on hand – end of year	6b	21,315	41,453
	Total cash, cash equivalents and investments		49,978	54,995

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

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Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 1. Basis of preparation

These financial statements were authorised for issue by Council on 12 December 2018.

Council has the power to amend and reissue these financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting. Council is a not-for-profit entity for the purpose of preparing these financial statements.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Full dollars have been used in Note 19 Related party disclosures in relation to the disclosure of specific related party transactions.

Unless otherwise indicated, all amounts disclosed in the financial statements are actual amounts.

Specific budgetary amounts have been included for comparative analysis (to actuals) in the following reports and notes:

- Income statement
- Statement of cash flows
- Note 17 – Material budget variations

and are clearly marked .

(a) New and amended standards adopted by Council

AASB 124 Related Party Disclosures was adopted for the first time in the financial statements.

The impact of adopting this standard has had no impact on the reporting of Council's financial position or performance.

Note 19 has now been included in these financial statements for related parties and incorporates all required related party disclosures.

(b) Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain financial assets and liabilities and certain classes of infrastructure, property, plant and equipment and investment property.

(c) Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 1. Basis of preparation (continued)

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note 9
- (ii) estimated tip remediation provisions – refer Note 11
- (iii) employee benefit provisions – refer Note 11

Significant judgements in applying the Council's accounting policies

- (iv) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables in Note 7.

Monies and other assets received by Council

(a) The Consolidated Fund

In accordance with the provisions of Section 409(1) of the *Local Government Act 1993 (NSW)*, all money and other assets received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service
- Sec 355 Committees of Council
- South West Regional Waste Management Group
- South West Rural Fire Service.

(b) The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and other assets received by the Council in trust which must be applied only for the purposes of, or in accordance with the trusts relating to those monies. Trust monies and other assets subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 1. Basis of preparation (continued)

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to the taxation authority are presented as operating cash flows.

New accounting standards and interpretations issued not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for the current reporting period and which have not been applied.

As at the date of authorisation of these financial statements, Council considers that the standards and interpretations listed below will have an impact upon future published financial statements ranging from additional and / or revised disclosures to actual changes as to how certain transactions and balances are accounted for.

Effective for annual reporting periods beginning on or after 1 July 2018

- *AASB 9 Financial Instruments*

This replaces AASB 139 Financial Instruments: Recognition and Measurement, and addresses the classification, measurement and disclosure of financial assets and liabilities.

The standard introduces a new impairment model that requires impairment provisions to be based on expected credit losses, rather than incurred credit losses. Based on assessments to date, Council expects a small increase to impairment losses however the standard is not expected to have a material impact overall.

Effective for annual reporting periods beginning on or after 1 July 2019

- *AASB 15 Revenue from Contracts with Customers, AASB 1058 Income of Not-for-Profit Entities and AASB 2016-8 Amendments to Australian Accounting Standards - Australian Implementation Guidance for Not-for-Profit Entities*

AASB 15 will replace AASB 118 Revenue, AASB 111 Construction Contracts and a number of Interpretations. AASB 2016-8 provides Australian requirements and guidance for not-for-profit entities in applying AASB 9 and AASB 15, and AASB 1058 will replace AASB 1004 Contributions.

Together they contain a comprehensive and robust framework for the recognition, measurement and disclosure of income including revenue from contracts with customers.

While Council is still reviewing the way that income is measured and recognised to identify whether there will be any material impact arising from these standards, these standards may affect the timing of the recognition of some grants and donations.

- *AASB 16 Leases*

Council is currently a party to leases that are not recognised in the Statement of Financial Position. It is likely that some of these leases will need to be included in the Statement of Financial Position when this standard comes into effect.

A lease liability will initially be measured at the present value of the lease payments to be made over the lease term. A corresponding right-of-use asset will also be recognised over the lease term.

Council has not elected to apply any pronouncements before their operative date in these financial statements.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 2(a). Council functions/activities – financial information

Functions/activities	Income, expenses and assets have been directly attributed to the following functions/activities. Details of these functions/activities are provided in Note 2(b).									
	Income from continuing operations		Expenses from continuing operations		Operating result from continuing operations		Grants included in income from continuing operations		Total assets held (current and non-current)	
	2018	13/5/16 to 30/6/17	2018	13/5/16 to 30/6/17	2018	13/5/16 to 30/6/17	2018	13/5/16 to 30/6/17	2018	2017
Governance	–	–	1,080	1,129	(1,080)	(1,129)	–	19,952	–	–
Administration	1,388	21,703	328	6,740	1,060	14,963	297	194	62,334	60,437
Public Order and Safety	719	771	1,537	1,449	(818)	(678)	406	635	1,587	1,539
Health	45	99	141	475	(96)	(376)	22	3	9	9
Environment	5,297	5,723	6,091	11,625	(794)	(5,902)	122	–	6,535	6,336
Community Services and Education	2	16	459	283	(457)	(267)	1	4	3,150	3,054
Housing and community amenities	437	1,152	2,107	2,122	(1,670)	(970)	119	788	1,260	1,222
Water Supplies	8,338	7,929	7,153	8,587	1,185	(658)	576	83	53,190	51,571
Sewerage Supplies	4,271	4,262	3,481	16,816	790	(12,554)	133	64	51,611	50,040
Recreation and culture	1,207	1,814	7,838	5,869	(6,631)	(4,055)	102	877	21,850	21,185
Fuel & Energy	154	–	997	–	(843)	–	–	–	–	–
Mining, manufacturing and construction	409	483	577	565	(168)	(82)	781	–	51	49
Transport and communication	10,118	9,621	22,863	20,549	(12,745)	(10,928)	5,289	6,842	415,672	403,021
Economic affairs	4,072	7,244	3,388	7,407	684	(163)	–	52	6,584	6,384
General purpose Income	21,537	24,566	–	–	21,537	24,566	8,010	11,333	–	–
Total functions and activities	57,994	85,383	58,040	83,616	(46)	1,767	15,858	40,827	623,834	604,847

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 2(b). Council functions/activities – component descriptions

Details relating to the Council's functions/activities as reported in Note 2(a) are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public Order and Safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community Services and Education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water Supplies

Sewerage Supplies

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Fuel & Energy

Includes income from fuel rebates and expenditure on fuel & energy across all activities of Council.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; sale yards and markets; real estate development; and other business undertakings.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 3. Income from continuing operations

\$ '000	2018	13/5/16 to 30/6/17
(a) Rates and annual charges		
Ordinary rates		
Residential	4,376	4,244
Farmland	6,551	6,200
Mining	19	19
Business	1,206	1,519
Total ordinary rates	12,152	11,982
Special rates		
Stormwater levy	115	115
Total special rates	115	115
Annual charges (pursuant to s.496, s.496A, s.496B, s.501 & s.611)		
Domestic waste management services	1,659	1,589
Water supply services	2,746	2,569
Sewerage services	3,982	3,970
Waste management services (non-domestic)	284	299
Section 611 charges	10	10
Recycling	255	184
Greenwaste	190	187
Other	—	8
Total annual charges	9,126	8,816
TOTAL RATES AND ANNUAL CHARGES	21,393	20,913

Council has used 2017 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy for rates and annual charges

Rates, annual charges, grants and contributions (including developer contributions) are recognised as revenue when the Council obtains control over the assets comprising these receipts. Developer contributions may only be expended for the purposes for which the contributions were required, but the Council may apply contributions according to the priorities established in work schedules.

Control over assets acquired from rates and annual charges is obtained at the commencement of the rating year as it is an enforceable debt linked to the rateable property or, where earlier, upon receipt of the rates.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(b) User charges and fees		
Specific user charges (per s.502 – specific 'actual use' charges)		
Water supply services	4,769	4,519
Sewerage services	57	3
Waste management services (non-domestic)	46	45
Trade waste	4	–
Other	–	2
Total specific user charges	4,876	4,569
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s.608)		
Building regulation	65	102
Inspection services	40	32
Planning and building regulation	307	528
Private works – section 67	923	401
Regulatory/ statutory fees	60	24
Section 149 certificates (EPA Act)	47	21
Section 603 certificates	46	19
Tapping fees	–	35
Town planning	23	52
Animal	18	11
Environment protection	6	1
Total fees and charges – statutory/regulatory	1,535	1,226
(ii) Fees and charges – other (incl. general user charges (per s.608))		
Caravan park	223	218
Cemeteries	255	308
Gravel pits	3	3
Lease rentals	530	389
Leaseback fees – Council vehicles	84	77
Library and art gallery	19	20
Park rents	36	22
Recycling income (non-domestic)	18	9
RMS (formerly RTA) charges (state roads not controlled by Council)	3,230	5,902
Saleyards	2	–
Swimming centres	79	91
Tourism	2	29
Waste disposal tipping fees	985	1,056
Water connection fees	57	3
Truckwash	11	16
Water plan fees	4	13
Septic tank fees	37	3
Sewer plan fees	28	7
Sewer connection fees	–	2
Other	3	92
Total fees and charges – other	5,606	8,260
TOTAL USER CHARGES AND FEES	12,017	14,055

Accounting policy for user charges and fees

User charges and fees are recognised as revenue when the service has been provided.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(c) Interest and investment revenue (including losses)		
Interest		
– Overdue rates and annual charges (incl. special purpose rates)	141	124
– Cash and investments	1,313	1,611
– Deferred debtors	1	1
– Other	2	18
<u>TOTAL INTEREST AND INVESTMENT REVENUE</u>	<u>1,457</u>	<u>1,754</u>
Interest revenue is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	141	124
General Council cash and investments	1,234	1,127
Restricted investments/funds – external:		
Development contributions		
– Section 7.11	30	27
– Section 64	21	6
Water fund operations	26	248
Sewerage fund operations	5	173
South West Regional Waste Management Group	–	49
<u>Total interest and investment revenue recognised</u>	<u>1,457</u>	<u>1,754</u>

Accounting policy for interest and investment revenue

Interest income is recognised using the effective interest rate at the date that interest is earned.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(d) Other revenues		
Rental income – other council properties	–	217
Fines	27	54
Fines – parking	23	28
Legal fees recovery – rates and charges (extra charges)	45	81
Legal fees recovery – other	1	4
Commissions and agency fees	15	25
Diesel rebate	154	176
Insurance claim recoveries	29	102
Sales – general	86	77
Promotion and trade fairs	6	19
Insurance incentives and rebates	163	84
Reimbursements other councils	–	9
Dividend southern phone	23	38
Sale of scrap metal	27	22
Section 355 committee	26	51
Sale of garbage bins	6	2
Insurance incentive rebates	–	21
Training incentives	1	10
Worker health and safety incentives	–	15
Workers compensation reimbursement	66	69
Other	50	37
<u>TOTAL OTHER REVENUE</u>	<u>748</u>	<u>1,141</u>

Accounting policy for other revenue

Council recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Council and specific criteria have been met for each of the Council's activities as described below. Council bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Parking fees and fines are recognised as revenue when the service has been provided, or when the penalty has been applied, whichever occurs first.

Rental income is accounted for on a straight-line basis over the lease term.

Miscellaneous sales are recognised when physical possession has transferred to the customer which is deemed to be the point of transfer of risks and rewards.

Other income is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	2018 Operating	13/5/16 to 30/6/17 Operating	2018 Capital	13/5/16 to 30/6/17 Capital
(e) Grants				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	2,491	7,141	–	–
Financial assistance – local roads component	1,375	3,998	–	–
Payment in advance – future year allocation				
Financial assistance – general component	2,556	–	–	–
Financial assistance – local roads component	1,406	–	–	–
Other				
Pensioners' rates subsidies – general component	182	194	–	–
Total general purpose	8,010	11,333	–	–
Specific purpose				
Pensioners' rates subsidies:				
– Water	72	76	–	–
– Sewerage	61	64	–	–
– Domestic waste management	78	79	–	–
Water supplies	124	7	–	–
Sewerage services	–	–	–	581
Bushfire and emergency services	185	604	221	31
Economic development	–	52	–	–
Employment and training programs	17	9	–	–
Flood restoration	1,441	2,808	–	–
Heritage and cultural	51	229	–	–
Library – per capita	96	104	–	–
LIRS subsidy	72	123	–	–
Noxious weeds	122	–	–	–
Recreation and culture	5	109	650	435
Street lighting	91	99	–	–
Transport (roads to recovery)	2,086	2,548	–	–
Transport (other roads and bridges funding)	–	–	1,762	1,462
Youth services	1	4	–	–
Health programs	22	3	–	–
New Council Implementation Funds	–	5,000	–	–
Stronger Community Funds	–	–	646	15,000
Fire and emergency services	–	12	–	–
Flood study	–	29	–	–
Other	45	26	–	–
Total specific purpose	4,569	11,985	3,279	17,509
Total grants	12,579	23,318	3,279	17,509
Grant revenue is attributable to:				
– Commonwealth funding	8,556	13,696	1,953	302
– State funding	4,946	9,622	25	17,207
– Other funding	(923)	–	1,301	–
	12,579	23,318	3,279	17,509

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	Notes	2018 Operating	13/5/16 to 30/6/17 Operating	2018 Capital	13/5/16 to 30/6/17 Capital
(f) Contributions					
Developer contributions:					
(s7.4 & s7.11 – EP&A Act, s64 of the LGA):					
Cash contributions					
S 7.11 – contributions towards amenities/services		128	102	336	345
S 7.12 – fixed development consent levies		–	–	76	113
S 64 – water supply contributions		–	–	60	102
S 64 – sewerage service contributions		–	–	32	77
Other developer contributions		–	–	–	8
Total developer contributions – cash		128	102	504	645
Total developer contributions	20	128	102	504	645
Other contributions:					
Cash contributions					
Bushfire services		2	57	–	–
Community services		–	4	–	–
Other councils – joint works/services		1,845	2,361	–	–
Recreation and culture		50	64	100	73
Roads and bridges		–	–	–	57
RMS contributions (regional roads, block grant)		2,839	2,316	457	442
Sewerage (excl. section 64 contributions)		–	–	1	1
Water supplies (excl. section 64 contributions)		–	–	2	2
Waste		21	19	–	–
Health equipment		–	23	–	–
Other		18	45	4	13
Total other contributions – cash		4,775	4,889	564	588
Total other contributions		4,775	4,889	564	588
Total contributions		4,903	4,991	1,068	1,233
TOTAL GRANTS AND CONTRIBUTIONS		17,482	28,309	4,347	18,742

Accounting policy for contributions

Control over grants and contributions is normally obtained upon their receipt (or acquittal) and is valued at the fair value of the granted or contributed asset at the date of transfer.

Where grants or contributions recognised as revenues during the financial year were obtained on condition that they be expended in a particular manner or used over a particular period and those conditions were un-discharged at reporting date, the unused grant or contribution is disclosed above.

A liability is recognised in respect of revenue that is reciprocal in nature to the extent that the requisite service has not been provided at reporting date.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 3. Income from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(g) Unspent grants and contributions		
Certain grants and contributions are obtained by Council on condition that they be spent in a specified manner:		
Operating grants		
Unexpended at the close of the previous reporting period	19,977	1,675
Add: operating grants recognised in the current period but not yet spent	327	19,272
Less: operating grants recognised in a previous reporting period now spent	(15,581)	(970)
Unexpended and held as restricted assets (operating grants)	4,723	19,977
Capital grants		
Unexpended at the close of the previous reporting period	–	–
Add: capital grants recognised in the current period but not yet spent	104	–
Unexpended and held as restricted assets (capital grants)	104	–
Contributions		
Unexpended at the close of the previous reporting period	1,953	1,551
Add: contributions recognised in the current period but not yet spent	685	779
Less: contributions recognised in a previous reporting period now spent	(598)	(377)
Unexpended and held as restricted assets (contributions)	2,040	1,953

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 4. Expenses from continuing operations

\$ '000	2018	13/5/16 to 30/6/17
(a) Employee benefits and on-costs		
Salaries and wages	15,984	15,871
Travel expenses	19	6
Employee leave entitlements (ELE)	2,477	2,420
Superannuation	1,662	1,886
Workers' compensation insurance	1,064	522
Fringe benefit tax (FBT)	69	94
Payroll tax	61	87
Training costs (other than salaries and wages)	248	234
Protective clothing	73	74
WH&S expenses	29	23
Other	105	134
Total employee costs	21,791	21,351
Less: capitalised costs	(1,552)	(1,499)
TOTAL EMPLOYEE COSTS EXPENSED	20,239	19,852
Number of 'full-time equivalent' employees (FTE) at year end	243	221

Accounting policy for employee benefits and on-costs

Employee benefit expenses are recorded when the service has been provided by the employee.

Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a Defined Benefit Plan under the Local Government Superannuation Scheme, however, when sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note 15 for more information.

	2018	13/5/16 to 30/6/17
(b) Borrowing costs		
(i) Interest bearing liability costs		
Interest on overdraft	–	1
Interest on loans	887	1,149
Total interest bearing liability costs expensed	887	1,150
(ii) Other borrowing costs		
Discount adjustments relating to movements in provisions (other than ELE)		
– Remediation liabilities	277	5,168
Total other borrowing costs	277	5,168
TOTAL BORROWING COSTS EXPENSED	1,164	6,318

Accounting policy for borrowing costs

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 4. Expenses from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(c) Materials and contracts		
Raw materials and consumables	20,019	22,511
Contractor and consultancy costs	7,179	1,432
– Contractor and consultancy costs	–	201
– RTA works	187	293
– Private works	7	4
– Contractors	–	624
– Security services	27	23
– IT support services	202	2
– Engineering	–	44
– Town planning	22	58
– Regional landfill receival charges	796	966
– Infrastructure capital works	–	1,095
– Waste haulage	783	454
Auditors remuneration ⁽²⁾	126	42
Legal expenses:		
– Legal expenses: planning and development	36	43
– Legal expenses: debt recovery	49	87
– Legal expenses: other	52	12
Operating leases:		
– Operating lease rentals: minimum lease payments ⁽¹⁾	41	43
Water acquisition costs	2,192	2,682
Water purchase	1,428	1,368
Swimming pool	17	15
Other	–	122
Total materials and contracts	33,163	32,121
Less: capitalised costs	(17,639)	(12,319)
<u>TOTAL MATERIALS AND CONTRACTS</u>	<u>15,524</u>	<u>19,802</u>

Operating leases

Leases in which a significant portion of the risks and rewards of ownership are not transferred to Council as lessee are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

1. Operating lease payments are attributable to:

Other	41	43
	41	43

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 4. Expenses from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(c) Materials and contracts (continued)		
2. Auditor remuneration		
During the year the following fees were paid or payable for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council – NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	90	35
Remuneration for audit and other assurance services	90	35
Total Auditor-General remuneration	90	35
Non NSW Auditor-General audit firms:		
(i) Audit and other assurance services		
Internal audit	36	7
Remuneration for audit and other assurance services	36	7
Total remuneration of non NSW Auditor-General audit firms	36	7
Total Auditor remuneration	126	42

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	2018	13/5/16 to 30/6/17
(d) Depreciation, amortisation and impairment			
Depreciation and amortisation			
Plant and equipment		2,244	2,436
Office equipment		63	87
Furniture and fittings		41	51
Land improvements (depreciable)		4	2
Infrastructure:			
– Buildings – non-specialised		464	529
– Buildings – specialised		1,824	1,971
– Other structures		74	217
– Roads		7,565	6,228
– Bridges		517	580
– Footpaths		100	122
– Stormwater drainage		309	354
– Water supply network		897	1,555
– Sewerage network		1,116	1,269
– Swimming pools		151	169
– Other open space/recreational assets		402	287
Other assets:			
– Library books		63	62
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	9 & 11	14	40
Total depreciation and amortisation costs		15,848	15,959
Impairment / revaluation decrement of IPP&E			
Land – Community land		299	–
Infrastructure		–	13,052
Roads		–	2,079
Total IPP&E impairment / revaluation decrement costs / (reversals)		299	15,131
TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT / REVALUATION DECREMENT COSTS EXPENSED		16,147	31,090

Accounting policy for depreciation, amortisation and impairment expenses

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note 9 for IPPE assets.

Impairment of non-financial assets

Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 4. Expenses from continuing operations (continued)

\$ '000	2018	13/5/16 to 30/6/17
(e) Other expenses		
Advertising	112	87
Bad and doubtful debts	8	(2)
Bank charges	65	101
Cleaning	–	27
Cost of sales	6	–
Computer software charges	199	254
Contributions/levies to other levels of government	–	4
– Emergency services levy (includes FRNSW, SES, and RFS levies)	643	692
– Waste levy	–	1
– Southern Slopes Noxious Weeds County Council	–	83
– South West Regional Library	–	278
– South Western rural fire zone	33	10
Councillor expenses – mayoral fee	23	1
Councillor expenses – councillors' fees	107	252
Councillors' expenses (incl. mayor) – other (excluding fees above)	79	49
Donations, contributions and assistance to other organisations (Section 356)	243	57
– Donations, contributions and assistance	–	32
– Local Government Association	–	20
– South West Regional Library	–	89
– Southern Slopes Weeds Authority	–	81
– Other memberships and subscriptions	–	5
– ROC membership	51	12
– Section 355 committees and community events	26	49
– Water utilities alliance	9	9
– Shires Association	50	19
– Southern Slopes Noxious Weeds Authority	–	71
– Donations, contributions and assistance	–	882
Election expenses	171	–
Electricity and heating	646	744
Fire control expenses	–	92
Insurance	1,084	1,019
Office expenses (including computer expenses)	–	186
Postage	103	101
Printing and stationery	116	149
Street lighting	248	263
Subscriptions and publications	132	247
Telephone and communications	339	177
Tourism expenses (excluding employee costs)	–	144
Valuation fees – land rates	83	89
Licence fees	51	14
Lease property	126	33
Promotion and trade fairs	91	83
Computer support costs	–	4
Other	122	46
<u>TOTAL OTHER EXPENSES</u>	<u>4,966</u>	<u>6,554</u>

Accounting policy for other expenses

Other expenses are recorded on an accruals basis as the Council receives the goods or services.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 5. Gains or losses from the disposal of assets

\$ '000	Notes	2018	13/5/16 to 30/6/17
Property (excl. investment property)	9		
Proceeds from disposal – property		50	49
Less: carrying amount of property assets sold/written off		(278)	(22)
Net gain/(loss) on disposal		(228)	27
Plant and equipment	9		
Proceeds from disposal – plant and equipment		1,172	1,189
Less: carrying amount of plant and equipment assets sold/written off		(412)	(639)
Net gain/(loss) on disposal		760	550
Infrastructure	9		
Less: carrying amount of infrastructure assets sold/written off		–	(108)
Net gain/(loss) on disposal		–	(108)
Real estate assets held for sale	8		
Proceeds from disposal – real estate assets		216	–
Less: carrying amount of real estate assets sold/written off		(198)	–
Net gain/(loss) on disposal		18	–
NET GAIN/(LOSS) ON DISPOSAL OF ASSETS		550	469

Accounting policy for disposal of assets

The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is derecognised.

Note 6(a). Cash and cash equivalent assets

\$ '000	2018	2017
Cash and cash equivalents		
Cash on hand and at bank	11,913	1,909
Cash-equivalent assets		
– Deposits at call	–	383
– Short-term deposits	16,750	11,250
Total cash and cash equivalents	28,663	13,542

Accounting policy for cash and cash equivalents

For Statement of Cash Flow presentation purposes, cash and cash equivalents includes cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 6(b). Investments

\$ '000	2018	2018	2017	2017
	Current	Non-current	Current	Non-current
Investments				
'Held to maturity'	21,315	—	41,453	—
Total investments	21,315	—	41,453	—
<u>TOTAL CASH ASSETS, CASH EQUIVALENTS AND INVESTMENTS</u>	49,978	—	54,995	—
Held to maturity investments				
Long term deposits	21,312	—	41,450	—
Listed equity securities	—	—	3	—
Other long term financial assets	3	—	—	—
Total	21,315	—	41,453	—

Accounting policy for investments

Classification

Council classifies its financial assets in the following categories: loans and receivables; held-to-maturity investment. The classification depends on the purpose for which the investments were acquired. Management determines the classification of its investments at initial recognition and, in the case of assets classified as held-to-maturity, re-evaluates this designation at each reporting date.

Held to maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that Council's management has the positive intention and ability to hold to maturity. Assets in this category are measured at amortised cost.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 6(c). Restricted cash, cash equivalents and investments – details

\$ '000	2018	2018	2017	2017
	Current	Non-current	Current	Non-current
Total cash, cash equivalents and investments	49,978	–	54,995	–
attributable to:				
External restrictions (refer below)	25,353	–	23,498	–
Internal restrictions (refer below)	23,923	–	30,757	–
Unrestricted	702	–	740	–
	49,978	–	54,995	–

\$ '000	2018	2017
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Details of restrictions

External restrictions – included in liabilities

Specific purpose unexpended loans – general	–	700
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External restrictions – included in liabilities	–	700
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External restrictions – other

Developer contributions – general	1,193	1,218
Developer contributions – water fund	789	710
Developer contributions – sewer fund	58	25
Specific purpose unexpended grants	5,027	1,149
Water supplies	9,767	8,660
Sewerage services	3,872	7,377
Domestic waste management	151	151
Stormwater management	241	126
Waste transfer station	237	237
Regional waste group	3,095	2,326
Regional fire zone	115	11
Other contributions	21	21
Other	787	787
External restrictions – other	25,353	22,798
Total external restrictions	25,353	23,498

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 6(c). Restricted cash, cash equivalents and investments – details (continued)

\$ '000	2018	2017
Internal restrictions		
Plant and vehicle replacement	702	702
Infrastructure replacement	522	2,039
Employees leave entitlement	3,178	3,178
Carry over works	–	1,122
Financial assistance grant advance payment	3,962	3,769
Incomplete works reserve	–	99
Implementation Funding	1,715	3,665
Stronger Councils Funds	13,186	14,118
Quarries and pit restoration	552	552
Housing and community	–	1,422
Corporate support reserves	106	83
Recreational and cultural	–	8
Total internal restrictions	23,923	30,757
TOTAL RESTRICTIONS	49,276	54,255

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 7. Receivables

\$ '000	2018		2017	
	Current	Non-current	Current	Non-current
Purpose				
Rates and annual charges	1,759	—	1,555	—
Interest and extra charges	212	—	207	—
User charges and fees	2,062	—	695	—
Private works	—	—	26	—
Contributions to works	490	—	29	—
Accrued revenues				
– Interest on investments	212	—	393	—
– Other income accruals	324	—	55	—
Amounts due from other councils	150	—	168	—
Deferred debtors	22	—	26	—
Government grants and subsidies	2,853	—	5,604	—
Net GST receivable	1,455	—	603	—
Contributions	204	—	253	—
Other debtors	—	—	5	—
Total	9,743	—	9,619	—
Less: provision for impairment				
Rates and annual charges	(35)	—	(35)	—
User charges and fees	(35)	—	(35)	—
Other debtors	(17)	—	(17)	—
Total provision for impairment – receivables	(87)	—	(87)	—
TOTAL NET RECEIVABLES	9,656	—	9,532	—
Externally restricted receivables				
Water supply				
– Rates and availability charges	782	—	348	—
– Other	757	—	903	—
Sewerage services				
– Rates and availability charges	388	—	352	—
– Other	—	—	103	—
Domestic waste management	648	—	108	—
Stormwater management	—	—	8	—
Total external restrictions	2,575	—	1,822	—
Unrestricted receivables	7,081	—	7,710	—
TOTAL NET RECEIVABLES	9,656	—	9,532	—
Movement in provision for impairment of receivables				
Balance at the beginning of the year			2018	13/5/16 to 30/6/17
			87	152
+ new provisions recognised during the year			—	4
– amounts already provided for and written off this year			—	(69)
Balance at the end of the year			87	87

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 7. Receivables (continued)

Accounting policy for receivables

Recognition and measurement

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for those with maturities greater than 12 months after the reporting date which are classified as non-current assets. Loans and receivables are included in other receivables (Note 8) and receivables (Note 7) in the Statement of Financial Position. Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Cash flows relating to short-term receivables are not discounted if the effect of discounting is immaterial.

Impairment

For loans and receivables the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the amount of the loss is recognised in profit or loss.

Collectability of receivables is reviewed on an on-going basis. Debts that are known to be uncollectible are written off by reducing the carrying amount directly. An allowance account (provision for impairment of receivables) is used when there is objective evidence that Council will not be able to collect all amounts due according to the original terms of the receivables.

Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue) are considered indicators that the receivable is impaired. When a receivable for which an impairment allowance had been recognised becomes uncollectable in a subsequent period it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against other expenses in the Income statement.

Note 8. Inventories and other assets

\$ '000	2018		2017	
	Current	Non-current	Current	Non-current
(a) Inventories				
(i) Inventories at cost				
Real estate for resale (refer below)	134	—	—	—
Stores and materials	956	—	713	—
Trading stock	—	—	12	—
Total inventories at cost	1,090	—	725	—
TOTAL INVENTORIES	1,090	—	725	—
(b) Other assets				
Prepayments	1	—	73	—
TOTAL OTHER ASSETS	1	—	73	—

Externally restricted assets

There are no restrictions applicable to the above assets.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 8. Inventories and other assets (continued)

\$ '000	Notes	2018		2017	
		Current	Non-current	Current	Non-current
Other disclosures					
(a) Details for real estate development					
Residential		134	—	—	—
Total real estate for resale		134	—	—	—
(Valued at the lower of cost and net realisable value)					
Represented by:					
Acquisition costs		26	—	—	—
Development costs		108	—	—	—
Total costs		134	—	—	—
Total real estate for resale		134	—	—	—
Movements:					
– Purchases and other costs		55	—	—	—
– Transfers in from (out to) Note 10		277	—	—	—
– WDV of sales (expense)	5	(198)	—	—	—
Total real estate for resale		134	—	—	—

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Inventory held for distribution

Inventory held for distribution is held at cost, adjusted where applicable for any loss of service potential.

Land held for resale/capitalisation of borrowing costs

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

Hilltops Council

Notes to the Financial Statements
for the year ended 30 June 2018

Note 9(a). Infrastructure, property, plant and equipment

Asset class \$ '000	as at 30/6/2017			Asset movements during the reporting period									as at 30/6/2018		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals	Additions new assets	Reinstatement costs for impaired assets	Carrying value of disposals	Depreciation expense	Impairment loss / revaluation decrements (recognised in P/L)	WIP transfers	Tfrs from/(to) real estate assets (Note 8)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
Capital work in progress	774	–	774	1,040	–	–	–	–	–	(648)	–	–	1,166	–	1,166
Plant and equipment	28,044	14,600	13,444	3,932	–	–	(412)	(2,244)	–	–	–	–	30,198	15,478	14,720
Office equipment	921	693	228	132	–	–	–	(63)	–	–	–	–	1,055	758	297
Furniture and fittings	799	429	370	9	–	–	–	(41)	–	–	–	–	808	470	338
Land:															
– Operational land	6,614	–	6,614	–	1	–	(95)	–	–	198	(277)	1,008	7,449	–	7,449
– Community land	7,895	–	7,895	–	–	–	–	–	(299)	–	–	–	7,596	–	7,596
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	73	13	60	323	–	–	–	(4)	–	–	–	–	396	17	379
Infrastructure:															
– Buildings – non-specialised	19,853	12,538	7,315	232	–	–	(4)	(464)	–	–	–	6,787	26,722	12,856	13,866
– Buildings – specialised	73,584	36,370	37,214	1,419	–	–	(179)	(1,824)	–	–	–	11,264	87,914	40,020	47,894
– Other structures	7,547	3,814	3,733	118	–	–	–	(74)	–	–	–	–	7,666	3,889	3,777
– Roads	335,061	105,688	229,373	7,891	–	428	–	(7,565)	–	325	–	–	343,706	113,253	230,453
– Bridges	51,730	24,469	27,261	1,732	–	–	–	(517)	–	–	–	–	53,461	24,985	28,476
– Footpaths	7,372	2,106	5,266	491	–	–	–	(100)	–	–	–	–	7,863	2,206	5,657
– Bulk earthworks (non-depreciable)	95,291	–	95,291	–	–	–	–	–	–	–	–	–	95,290	–	95,290
– Stormwater drainage	28,400	16,600	11,800	21	–	–	–	(309)	–	–	–	–	28,420	16,908	11,512
– Water supply network	70,233	29,779	40,454	789	–	–	–	(897)	–	125	–	830	72,618	31,317	41,301
– Sewerage network	69,275	28,125	41,150	551	–	–	–	(1,116)	–	–	–	841	71,210	29,784	41,426
– Swimming pools	8,070	3,680	4,390	4	–	–	–	(151)	–	–	–	–	8,073	3,830	4,243
– Other open space/recreational assets	10,028	3,750	6,278	805	–	–	–	(402)	–	–	–	–	10,832	4,151	6,681
Other assets:															
– Library books	507	317	190	53	–	–	–	(63)	–	–	–	–	560	380	180
Reinstatement, rehabilitation and restoration assets (refer Note 11):															
– Tip assets	304	301	3	–	–	–	–	(14)	–	–	–	–	304	304	–
– Quarry assets	639	291	348	–	–	–	–	–	–	–	–	–	640	303	337
TOTAL INFRASTRUCTURE, PROPERTY, PLANT AND EQUIP.	823,085	283,563	539,522	19,542	1	428	(690)	(15,848)	(299)	–	(277)	20,730	864,018	300,909	563,109

Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 9(a). Infrastructure, property, plant and equipment (continued)

Accounting policy for infrastructure, property, plant and equipment

Infrastructure, property, plant and equipment are held at fair value. Independent valuations are performed at least every five years, however the carrying amount of assets is assessed at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by Crown Lands and Water (CLAW).

Increases in the carrying amounts arising on revaluation are credited to the asset revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss. Decreases that reverse previous increases of assets in the same class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Land is not depreciated. Depreciation on other assets is calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives as follows:

Plant and equipment	Years	Other equipment	Years
Office equipment	5 to 10	Playground equipment	5 to 15
Office furniture	3 to 20	Benches, seats etc.	5 to 20
Computer equipment	4		
Vehicles	5 to 10	Buildings	
Heavy plant/road making equipment	5 to 10	Buildings: masonry	50 to 100
Other plant and equipment	5 to 25	Buildings: other	20 to 40
Water and sewer assets		Stormwater assets	
Dams and reservoirs	80 to 100	Drains	80 to 100
Bores	20 to 80	Culverts	50 to 150
Reticulation pipes: PVC	70 to 80	Flood control structures	80 to 100
Reticulation pipes: other	25 to 75		
Pumps and telemetry	15 to 20		
Transportation assets		Other infrastructure assets	
Sealed roads: surface	10 to 50	Bulk earthworks	Infinite
Sealed roads: structure	50 to 150	Swimming pools	25 to 60
Unsealed roads	7 to 20	Other open space/recreational assets	15 to 100
Bridge: concrete	80 to 100	Other infrastructure	7 to 50
Bridge: other	50 to 100		
Road pavements	90 to 100		
Kerb, gutter and footpaths	15 to 100		

The assets' useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the Income statement.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 9(a). Infrastructure, property, plant and equipment (continued)

Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051 Land Under Roads.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 Property Plant and Equipment.

Crown reserves

Crown Reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown Reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under section 119 of the *Rural Fire Services Act 1997 (NSW)*, "*all fire fighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the fire fighting equipment has been purchased or constructed*".

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fire service assets including land and buildings, but will not recognise plant and vehicles.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 9(b). Externally restricted infrastructure, property, plant and equipment

\$ '000 Class of asset	2018			2017		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply						
WIP	–	–	–	126	–	126
Plant and equipment	638	525	113	624	468	156
Office equipment	99	55	44	99	55	44
Land						
– Operational land	169	–	169	169	–	169
Buildings	18	–	18	–	–	–
Infrastructure	72,618	31,316	41,302	70,233	29,778	40,455
Total water supply	73,542	31,896	41,646	71,251	30,301	40,950
Sewerage services						
Plant and equipment	1,926	1,806	120	1,926	1,757	169
Land						
– Operational land	570	–	570	570	–	570
Buildings	421	146	275	386	92	294
Infrastructure	71,210	29,783	41,427	69,275	28,125	41,150
Total sewerage services	74,127	31,735	42,392	72,157	29,974	42,183
Domestic waste management						
Plant and equipment	203	173	30	203	159	44
Total DWM	203	173	30	203	159	44
SW Regional Waste Mgt Group						
Plant and equipment	1,289	819	470	1,289	691	598
Other Structures	195	22	173	195	18	177
Total other restrictions	1,484	841	643	1,484	709	775
TOTAL RESTRICTED IPP&E	149,356	64,645	84,711	145,095	61,143	83,952

Note 9(c). Infrastructure, property, plant and equipment – current year impairments

\$ '000	Notes	2018	2017
(i) Impairment losses recognised in the Income Statement:			
Road Impairment		–	(2,079)
Total impairment losses		–	(2,079)
(ii) Reversal of impairment losses previously recognised in the Income Statement:			
Road Impairment		428	–
Total impairment reversals		428	–
IMPAIRMENT OF ASSETS – GAINS/(LOSSES) in P/L	4(d)	428	(2,079)

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 10. Payables and borrowings

\$ '000	2018		2017	
	Current	Non-current	Current	Non-current
Payables				
Goods and services – operating expenditure	4,230	–	2,266	2
Goods and services – capital expenditure	–	–	54	–
Accrued expenses:				
– Borrowings	171	–	100	–
– Salaries and wages	471	545	279	–
– Other expenditure accruals	56	10	44	–
Security bonds, deposits and retentions	718	–	584	109
ATO – net GST payable	81	–	–	–
Other	740	–	18	–
Total payables	6,467	555	3,345	111
Income received in advance				
Payments received in advance	454	–	477	–
Total income received in advance	454	–	477	–
Borrowings				
Loans – secured ¹	1,344	11,865	1,572	17,421
Total borrowings	1,344	11,865	1,572	17,421
TOTAL PAYABLES AND BORROWINGS	8,265	12,420	5,394	17,532

(a) Payables and borrowings relating to restricted assets

	2018		2017	
	Current	Non-current	Current	Non-current
Externally restricted assets				
Water	21	–	181	–
Sewer	443	7,425	161	12,648
Payables and borrowings relating to externally restricted assets	464	7,425	342	12,648
Total payables and borrowings relating to unrestricted assets	7,801	4,995	5,052	4,884
TOTAL PAYABLES AND BORROWINGS	8,265	12,420	5,394	17,532

¹. Loans are secured over the general rating income of Council

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note 16.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 10. Payables and borrowings (continued)

\$ '000

(b) Changes in liabilities arising from financing activities

Class of borrowings	Opening balance as at 1/7/17	Cash flows	Non-cash changes			Closing balance as at 30/6/18
			Acquisition	Fair value changes	Other non-cash movements	
Loans – secured	18,993	(5,784)	–	–	–	13,209
TOTAL	18,993	(5,784)	–	–	–	13,209

Accounting policy for payables and borrowings

Payables

These amounts represent liabilities for goods and services provided to the Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the income statement over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or finance cost.

Borrowings are classified as current liabilities unless Council has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 11. Provisions

\$ '000	2018		2017	
	Current	Non-current	Current	Non-current
Provisions				
Employee benefits:				
Annual leave	1,889	–	1,778	–
Sick leave	622	–	634	–
Long service leave	4,058	169	3,903	146
Other leave	–	–	20	–
RDO leave	64	–	32	–
Asset remediation/restoration:				
Asset remediation/restoration (future works)	–	7,215	100	6,860
Sub-total – asset remediation/restoration	–	7,215	100	6,860
<u>TOTAL PROVISIONS</u>	<u>6,633</u>	<u>7,384</u>	<u>6,467</u>	<u>7,006</u>

(a) Provisions relating to restricted assets

	2018		2017	
	Current	Non-current	Current	Non-current
Externally restricted assets				
Water	–	315	–	–
Sewer	51	–	–	–
Provisions relating to externally restricted assets	51	315	–	–
Total provisions relating to restricted assets	51	315	–	–
Total provisions relating to unrestricted assets	6,582	7,069	6,467	7,006
<u>TOTAL PROVISIONS</u>	<u>6,633</u>	<u>7,384</u>	<u>6,467</u>	<u>7,006</u>

\$ '000	2018	2017
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(b) Current provisions not anticipated to be settled within the next twelve months

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Provisions – employees benefits	4,846	4,282
	<u>4,846</u>	<u>4,282</u>

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 11. Provisions (continued)

\$ '000

(c) Description of and movements in provisions

2018	ELE provisions					Total
	Annual leave	Sick leave	Long service leave	ELE on-costs	Other employee benefits	
At beginning of year	1,778	634	4,049	—	52	6,513
Other	111	(12)	178	—	12	289
Total ELE provisions at end of year	1,889	622	4,227	—	64	6,802

2017	ELE provisions					Total
	Annual leave	Sick leave	Long service leave	ELE on-costs	Other employee benefits	
At beginning of year	—	—	—	—	—	—
Other	1,778	634	4,049	—	52	6,513
Total ELE provisions at end of year	1,778	634	4,049	—	52	6,513

2018	Other provisions	
	Asset remediation	Total
At beginning of year	6,960	6,960
Changes to provision:		
Unwinding of discount	277	277
Other	(22)	(22)
Total other provisions at end of year	7,215	7,215

2017	Other provisions	
	Asset remediation	Total
At beginning of year	1,796	1,796
Changes to provision:		
Amounts used (payments)	(4)	(4)
Unwinding of discount	5,168	5,168
Total other provisions at end of year	6,960	6,960

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 11. Provisions (continued)

Nature and purpose of non-employee benefit provisions

Asset remediation

Council has a legal/public obligation to make, restore, rehabilitate and reinstate the council tips and quarries.

Accounting policy for provisions

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

Employee benefits

Short-term obligations

Liabilities for wages and salaries, including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method.

Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as near as possible, the estimated future cash outflows.

The obligations are presented as current liabilities in the Statement of Financial Position if the Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 11. Provisions (continued)

Provisions for close-down and restoration, and environmental clean-up costs – tips and quarries

Restoration

Close down and restoration costs include the dismantling and demolition of infrastructure and the removal of residual materials and remediation of disturbed areas. Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The costs are estimated on the basis of a closure plan. The cost estimates are calculated annually during the life of the operation to reflect known developments, eg updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Rehabilitation

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each reporting date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean up obligations outstanding at the reporting date. These costs are charged to the Income Statement. Movements in the environmental clean up provisions are presented as an operating cost, except for the unwinding of the discount which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result there could be significant adjustments to the provision for close down and restoration and environmental clean up, which would affect future financial results.

Other movements in the provisions for close down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are capitalised within property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

Close down and restoration costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations. Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 12. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors

Nature and purpose of reserves

Infrastructure, property, plant and equipment revaluation reserve

The infrastructure, property, plant and equipment revaluation reserve is used to record increments / decrements of non-current asset values due to their revaluation.

Note 13. Statement of cash flows – additional information

\$ '000	Notes	2018	2017
(a) Reconciliation of cash assets			
Total cash and cash equivalent assets	6a	28,663	13,542
Balance as per the Statement of Cash Flows		28,663	13,542
(b) Reconciliation of net operating result to cash provided from operating activities			
Net operating result from Income Statement		(46)	1,767
Adjust for non-cash items:			
Depreciation and amortisation		15,848	15,959
Net losses/(gains) on disposal of assets		(550)	(469)
Impairment losses recognition – investments		–	2,079
Losses/(gains) recognised on fair value re-measurements through the P&L:			
– Revaluation decrements / impairments of IPP&E direct to P&L		299	13,052
Unwinding of discount rates on reinstatement provisions		277	5,168
+/- Movement in operating assets and liabilities and other cash items:			
Decrease/(increase) in receivables		(128)	3,592
Increase/(decrease) in provision for doubtful debts		–	(65)
Decrease/(increase) in inventories		(231)	(200)
Decrease/(increase) in other assets		72	166
Increase/(decrease) in payables		1,962	(380)
Increase/(decrease) in accrued interest payable		71	(113)
Increase/(decrease) in other accrued expenses payable		759	(409)
Increase/(decrease) in other liabilities		805	156
Increase/(decrease) in employee leave entitlements		289	(101)
Increase/(decrease) in other provisions		(22)	(4)
Net cash provided from/(used in) operating activities from the Statement of Cash Flows		19,405	40,198

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 14. Commitments for expenditure

\$ '000	2018	2017
(a) Capital commitments (exclusive of GST)		
Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:		
Property, plant and equipment		
Buildings	–	568
Bridges	1,650	929
Total commitments	1,650	1,497
These expenditures are payable as follows:		
Within the next year	1,650	1,497
Total payable	1,650	1,497
Sources for funding of capital commitments:		
Unrestricted general funds	1,650	1,497
Total sources of funding	1,650	1,497

(b) Operating lease commitments (non-cancellable)

a. Commitments under non-cancellable operating leases at the reporting date, but not recognised as liabilities are payable:

Within the next year	24	24
Total non-cancellable operating lease commitments	24	24

b. Non-cancellable operating leases include the following assets:

Contingent rentals may be payable depending on the condition of items or usage during the lease term.

Conditions relating to operating leases:

- All operating lease agreements are secured only against the leased asset.
- No lease agreements impose any financial restrictions on Council regarding future debt etc.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 15. Contingencies and other liabilities/assets not recognised

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED:

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council participates in an employer-sponsored defined benefit superannuation scheme, and makes contributions as determined by the superannuation scheme's trustees.

Member councils bear responsibility of ensuring there are sufficient funds available to pay out the required benefits as they fall due.

While the schemes most recent full actuarial review indicated that the net assets of the scheme were sufficient to meet the accrued benefits of the schemes defined benefit member category, member councils are required to make contributions in future years where the scheme goes into deficit (as has occurred in previous years).

The Local Government Superannuation Scheme however is unable to provide Council with an accurate estimate of its share of the net deficit and accordingly Council has not recorded any net liability from its defined benefit scheme obligations in accordance with AASB 119.

Future contributions made to the defined benefit scheme to rectify past and projected deficit positions will be recognised as an expense when they become payable – similar to the accounting for defined contributions plans.

Member councils are treated as Pooled Employers for the purposes of AASB119. Pooled Employers are required to pay standard employer contributions and additional lump sum contributions to the Fund.

The standard employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current standard employer contribution rates are:

Division B	1.9 times employee contributions
Division C	2.5% salaries
Division D	1.64 times employee contributions

The additional lump sum contribution for each Pooled Employer is a share of the total additional contributions of \$40.0 million per annum from 1 July 2017 for 4 years to 30 June 2021, apportioned according to each employer's share of the accrued liabilities as at 30 June 2017. These additional lump sum contributions are used to fund the deficit of assets to accrued liabilities as 30 June 2017.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

As stated above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 15. Contingencies and other liabilities/assets not recognised (continued)

LIABILITIES NOT RECOGNISED (continued):

1. Guarantees (continued)

(i) Defined benefit superannuation contribution plans (continued)

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the entity.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for the allocation of any surplus which may be present at the date of withdrawal of an employer.

The plan is a defined benefit plan. However, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses (to the extent that they are not borne by members). As such, there is not sufficient reliable information to allow each sponsoring employer to account for its proportionate share of the defined benefit obligation, sub-group assets and costs associated with the sub-group in the same way as it would for a single employer sponsored defined benefit plan.

The amount of Council employer contributions to the defined benefit section of the Fund and recognised as an expense and disclosed as part of superannuation expenses at Note 4 (a) for the year ending 30 June 2018 was \$188,980.

The last valuation of the Fund was by the Actuary, Mr Richard Boyfield, FIAA on 12 December 2017, relating to the period ended 30 June 2017.

Council's expected contributions to the Fund for the next annual reporting period is \$152,208.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2018 is:

Employer reserves only *	\$ millions	Asset Coverage
Assets	1,817.8	
Past Service Liabilities	1,787.5	101.7%
Vested Benefits	1,778.0	102.2%

* excluding member accounts and reserves in both assets and liabilities.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment Return	6.0% per annum
Salary Inflation *	3.5% per annum
Increases in CPI	2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program, however any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation and once all the relevant information has been received by the Funds Actuary, the 2018 triennial review will be completed around December 2018.

Council's additional lump sum contribution is around 0.15% of the total additional lump sum contributions for all Pooled Employers (of \$40m each year from 1 July 2017 to 30 June 2021) provides an indication of the level of participation of Council compared with other employers in the Pooled Employer sub-group.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 15. Contingencies and other liabilities/assets not recognised (continued)

LIABILITIES NOT RECOGNISED (continued):

1. Guarantees (continued)

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED:

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 16. Financial risk management

\$ '000

Risk management

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

	Carrying value		Fair value	
	2018	2017	2018	2017
Financial assets				
Cash and cash equivalents	28,663	13,542	36,465	13,542
Investments				
– 'Held to maturity'	21,315	41,453	12,965	41,543
Receivables	9,656	9,532	10,745	9,863
Total financial assets	59,634	64,527	60,175	64,948
Financial liabilities				
Payables	7,022	3,456	6,861	3,839
Loans/advances	13,209	18,993	13,209	18,993
Total financial liabilities	20,231	22,449	20,070	22,832

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and held-to-maturity investments** – are based upon estimated future cash flows discounted by the current mkt interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **'at fair value through profit and loss'** or (ii) **'available-for-sale'** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 16. Financial risk management (continued)

\$ '000

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the *Local Government Act 1993* and Ministerial Investment Order 625. This policy is regularly reviewed by Council and its staff and a monthly Investment report is provided to Council setting out the make-up and performance of the portfolio as required by Local Government regulations.

The risks associated with the investments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether there changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – price risk and interest rate risk

The following represents a summary of the sensitivity of Council's Income Statement and accumulated surplus (for the reporting period) due to a change in either the price of a financial asset or the interest rates applicable.

It is assumed that the change in interest rates would have been constant throughout the reporting period.

	Increase of values/rates		Decrease of values/rates	
	Profit	Equity	Profit	Equity
2018				
Possible impact of a 10% movement in market values	4,943	4,943	(4,943)	(4,943)
Possible impact of a 1% movement in interest rates	494	494	(494)	(494)
13/5/16 to 30/6/17				
Possible impact of a 10% movement in market values	2,245	2,245	(2,245)	(2,245)
Possible impact of a 1% movement in interest rates	494	224	(224)	(224)

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 16. Financial risk management (continued)

\$ '000

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

The major risk associated with these receivables is credit risk – the risk that debts due and payable to Council may not be repaid in full.

Council manages this risk by monitoring outstanding debt and employing stringent debt recovery procedures. It also encourages ratepayers to pay their rates by the due date through incentives.

Credit risk on rates and annual charges is minimised by the ability of Council to secure a charge over the land relating to the debts – that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages the payment of debt.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

A profile of Council's receivables credit risk at balance date follows:

	2018 Rates and annual charges	2018 Other receivables	2017 Rates and annual charges	2017 Other receivables
(i) Ageing of receivables – %				
Current (not yet overdue)	13%	100%	0%	100%
Overdue	87%	0%	100%	0%
	100%	100%	100%	100%
(ii) Ageing of receivables – value			2018	2017
Rates and annual charges				
Current			225	–
< 1 year overdue			828	939
1 – 2 years overdue			387	347
2 – 5 years overdue			164	147
> 5 years overdue			155	122
			1,759	1,555
Other receivables				
Current			5,552	5,359
0 – 30 days overdue			683	1,400
31 – 60 days overdue			655	226
61 – 90 days overdue			1,094	392
> 91 days overdue			–	687
			7,984	8,064

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 16. Financial risk management (continued)

\$ '000

(c) Liquidity risk

Payables and borrowings are both subject to liquidity risk – the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels and maintaining an adequate cash buffer.

Payment terms can (in extenuating circumstances) also be extended and overdraft facilities utilised as required.

Borrowings are also subject to interest rate risk – the risk that movements in interest rates could adversely affect funding costs and debt servicing requirements. Council manages this risk by borrowing long term and fixing the interest rate on a 4-year renewal basis. The Finance Section regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The contractual undiscounted cash outflows (ie. principal and interest) of Council's payables and borrowings are set out in the maturity table below:

\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in:		Total cash outflows	Actual carrying values
				1 – 5 Years	> 5 Years		
2018							
Trade/other payables		718	-	-	-	718	7,022
Loans and advances	4.83%	-	2,133	8,933	2,552	13,618	13,209
Total financial liabilities		718	2,133	8,933	2,552	14,336	20,231
2017							
Trade/other payables	0.00%	693	-	-	-	693	3,456
Loans and advances	4.83%	-	2,361	7,829	12,481	22,671	18,993
Total financial liabilities		693	2,361	7,829	12,481	23,364	22,449

Loan agreement breaches

There have been no Loan Agreement breaches in the reporting period.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 17. Material budget variations

\$ '000

Council's original financial budget for 17/18 was adopted by the Council on 27 June 2018 and is not required to be audited.

While the Income Statement included in this General Purpose Financial Report must disclose the original budget adopted by Council, the *Local Government Act 1993* requires Council to review its financial budget on a quarterly basis, so that it is able to manage the various variations between actuals versus budget that invariably occur throughout the year.

This note sets out the details of **material variations** between Council's original budget and its actual results for the year as per the Income Statement – even though such variations may have been adjusted for during each quarterly budget review.

Note that for variations* of budget to actual :

Material variations represent those variances that amount to **10%** or more of the original budgeted figure.

F = Favourable budget variation, **U** = Unfavourable budget variation

\$ '000	2018 Budget	2018 Actual	2018 Variance* -----		
REVENUES					
Rates and annual charges	20,537	21,393	856	4%	F
User charges and fees	14,275	12,017	(2,258)	(16%)	U
Council had overestimated the user charges and fees budget for the year.					
Interest and investment revenue	977	1,457	480	49%	F
Council had been conservative in calculating the interest budget. Council had a large increase of capital grants & contributions to fund major capital works that were still in progress at year end. Interest from unspent grants & contributions has been a significant item in the overall increase in interest income.					
Other revenues	2,497	748	(1,749)	(70%)	U
Council had overestimated other budget revenues for the year.					
Operating grants and contributions	9,822	17,482	7,660	78%	F
Grants and contributions are often announced during the year in which they are received. Council had not budgeted for the payment of Financial Assistance Grant.					
Capital grants and contributions	1,967	4,347	2,380	121%	F
Grants and contributions are often announced during the year in which they are received.					
Net gains from disposal of assets	–	550	550	100%	F
Council had not budgeted for the gain on disposal of assets, these gains had been netted against expenses.					

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 17. Material budget variations (continued)

\$ '000	2018 Budget	2018 Actual	2018 Variance*	
EXPENSES				
Employee benefits and on-costs	17,790	20,239	(2,449)	(14%) U
There was a \$3.4M mapping error in the budget with labour costs allocated to Materials & Contract.				
Borrowing costs	991	1,164	(173)	(17%) U
Council had underestimated the budget for borrowing costs.				
Materials and contracts	20,052	15,524	4,528	23% F
Labour costs of \$3.4M were incorrectly mapped to labour in the budget instead of Material & Contracts.				
Depreciation and amortisation	13,573	15,848	(2,275)	(17%) U
This represents the reduction in depreciation on Water and Sewer assets following revaluation in June 2017.				
Other expenses	5,031	4,966	65	1% F
Revaluation decrement / impairment of IPP&E	–	299	(299)	100% U
Revaluation of Community Land assets was not calculated in the original Council budget.				

Budget variations relating to Council's Cash Flow Statement include:

Cash flows from operating activities	10,331	19,405	9,074	87.8% F
Reflects the additional operational grants received incl the prepayment of Financial Assistance Grant.				
Cash flows from investing activities	(29,611)	1,500	31,111	(105.1%) F
Reflects the change in investment balances.				
Cash flows from financing activities	(663)	(5,784)	(5,121)	772.4% U
Council repaid a loan from Sewer fund that was not taken into account in the original budget.				

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 18. Fair value measurement

\$ '000

The Council measures the following asset and liability classes at fair value on a recurring basis:

– Infrastructure, property, plant and equipment

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(1) The following table presents all assets and liabilities that have been measured and recognised at fair values:

		Fair value measurement hierarchy			
2018		Level 1	Level 2	Level 3	Total
	Date	Quoted	Significant	Significant	
	of latest	prices in	observable	unobservable	
	valuation	active mkts	inputs	inputs	
Recurring fair value measurements					
Infrastructure, property, plant and equipment					
Plant & Equipment	30/06/18	—	—	14,690	14,690
Office Equipment, Furniture & Fittings	30/06/18	—	—	635	635
Operational Land	30/06/18	—	6,441	—	6,441
Community Land	12/05/16	—	—	7,596	7,596
Land Improvements	30/06/18	—	—	450	450
Buildings - Specialised	30/06/18	—	—	13,866	13,866
Buildings Non-Specialised	30/06/18	—	—	47,894	47,894
Other structures	3/06/13	—	—	3,777	3,777
Roads	30/06/15	—	—	222,659	222,659
Bridges	30/06/15	—	—	28,476	28,476
Footpaths	30/06/15	—	—	5,657	5,657
Kerb & Gutter	30/06/15	—	—	7,794	7,794
Bulk Earthworks	30/06/15	—	—	95,290	95,290
Stormwater Drainage	30/06/15	—	—	11,512	11,512
Water Supply Network	30/06/17	—	—	41,301	41,301
Sewer Network	30/06/17	—	—	41,426	41,426
Swimming Pools	30/06/13	—	—	4,243	4,243
Other Open Space & Recreational Assets	30/06/13	—	—	6,667	6,667
Library Books	30/06/18	—	—	180	180
Reinstatements	30/06/18	—	—	351	351
Total infrastructure, property, plant and equipment		—	6,441	554,464	560,905

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

\$ '000

(1) The following table presents all assets and liabilities that have been measured and recognised at fair values: (continued)

		Fair value measurement hierarchy			
2017		Level 1	Level 2	Level 3	Total
	Date	Quoted	Significant	Significant	
	of latest	prices in	observable	unobservable	
	valuation	active mkts	inputs	inputs	
Recurring fair value measurements					
Infrastructure, property, plant and equipment					
Plant & Equipment	30/06/17	—	—	13,444	13,444
Office Equipment, Furniture & Fittings	30/06/17	—	—	598	598
Operational Land	30/06/18	—	6,614	—	6,614
Community Land	12/05/16	—	—	7,895	7,895
Land Improvements	30/06/18	—	—	131	131
Buildings - Specialised	30/06/13	—	—	7,315	7,315
Buildings Non-Specialised	30/06/13	—	—	37,214	37,214
Other structures	30/06/13	—	—	3,733	3,733
Roads	30/06/15	—	—	229,374	229,374
Bridges	30/06/15	—	—	27,261	27,261
Footpaths	30/06/15	—	—	5,266	5,266
Bulk Earthworks	30/06/15	—	—	95,290	95,290
Stormwater Drainage	30/06/15	—	—	11,800	11,800
Water Supply Network	30/06/17	—	—	40,454	40,454
Sewer Network	30/06/17	—	—	41,150	41,150
Swimming Pools	30/06/13	—	—	4,390	4,390
Other Open Space & Recreational Assets	30/06/13	—	—	6,278	6,278
Library Books	30/06/17	—	—	190	190
Reinstatements	30/06/17	—	—	351	351
Total infrastructure, property, plant and equipment		—	6,614	532,134	538,748

(2) Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

Council's policy for determining transfers between fair value hierarchies is:

– at the end of the reporting period.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

(3) Valuation techniques used to derive level 2 and level 3 fair values

Where Council is unable to derive fair valuations using quoted market prices of identical assets (i.e. level 1 inputs), Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

There were no changes in valuation technique from prior year.

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed. Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2013) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The cost approach is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council carries fair values building using Level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

- Dimensions and specifications
- Unit Rates

The “Cost Approach” is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The “Cost Approach” is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
 - Residual Value
 - Asset Condition
 - Components
 - Dimensions and specifications
 - Unit Rates.
-

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

\$ '000

(4). Fair value measurements using significant unobservable inputs (level 3)

a. The following tables present the changes in level 3 fair value asset classes.

	IPP & E	Total
Opening balance – 13/5/16	506,013	506,013
Purchases (GBV)	19,930	19,930
Disposals (WDV)	(751)	(751)
Depreciation and impairment	(16,067)	(16,067)
Fair Value Changes	(13,052)	(13,052)
Other movement	(379)	(379)
Closing balance – 30/6/17	495,694	495,694
Purchases (GBV)	17,533	17,533
Disposals (WDV)	(416)	(416)
Depreciation and impairment	(13,596)	(13,596)
FV gains – Income Statement	(299)	(299)
Fair Value Changes	8,458	8,458
Other movement (details here)	(774)	(774)
Closing balance – 30/6/18	506,600	506,600

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 18. Fair value measurement (continued)

(4). Fair value measurements using significant unobservable inputs (level 3)

b. Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

I, PP&E

Class	Fair value (30/6/18) \$'000	Valuation technique/s	Unobservable inputs
Plant & Equipment	14,678	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office Equipment	6363	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	7,597	Land Values obtained from NSW Valuer General	Land Value, Land area
Land Improvements	450	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Building Specialised	47,836	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other Structures	3,777	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Roads	230,363	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	28,476	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	5,657	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk Earthworks	95,290	Cost used to approximate fair value	Cost per sq Metre
Stormwater Drainage	11,512	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water Supply Network	41,302	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage Network	41,427	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming Pool	4,243	Cost used to approximate fair value	Cost per unit

(5). Highest and best use

All of Council's non-financial assets are considered to being utilised for their highest and best use.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 19. Related party transactions

\$ '000

a. Key management personnel

Key management personnel (KMP) of the Council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

Compensation:	2018
Short-term benefits	922
Other long-term benefits	83
Termination benefits	140
Total	1,145

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 20. Statement of developer contributions

\$ '000

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas.

It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

SUMMARY OF CONTRIBUTIONS AND LEVIES

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	660	322	–	15	(396)	–	601	–
S7.11 contributions – under a plan	660	322	–	15	(396)	–	601	–
S7.12 levies – under a plan	465	220	–	13	(202)	–	496	–
Total S7.11 and S7.12 revenue under plans	1,125	542	–	28	(598)	–	1,097	–
S7.11 not under plans	92	1	–	2	–	–	95	–
S64 contributions	736	91	–	21	–	–	848	–
Total contributions	1,953	634	–	51	(598)	–	2,040	–

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 20. Statement of developer contributions (continued)

\$ '000

S7.11 CONTRIBUTIONS – UNDER A PLAN

CONTRIBUTION PLAN (former Harden)

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	660	322	–	15	(396)	–	601	
Total	660	322	–	15	(396)	–	601	–

S7.12 LEVIES – UNDER A PLAN

CONTRIBUTION PLAN (former Boorowa)

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Roads	140	4	–	3	–	–	147	
Community facilities	185	12	–	3	(100)	–	100	
Total	325	16	–	6	(100)	–	247	–

CONTRIBUTION PLAN (former Harden)

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Other	140	76	–	6	–	–	222	
Total	140	76	–	6	–	–	222	–

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 20. Statement of developer contributions (continued)

\$ '000

S7.12 LEVIES – UNDER A PLAN

CONTRIBUTION PLAN NUMBER Former Young

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Community facilities	–	128	–	1	(102)	–	27	
Total	–	128	–	1	(102)	–	27	–

S7.11 CONTRIBUTIONS – NOT UNDER A PLAN

(former Young)

PURPOSE	Opening balance	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
		Cash	Non-cash					
Drainage	27	1	–	1	–	–	29	
Parking	65	–	–	1	–	–	66	
Total	92	1	–	2	–	–	95	–

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 21. Financial result and financial position by fund

Income Statement by fund				
\$ '000	2018	2018	2018	2018
Continuing operations	Other	Water	Sewer	General¹
Income from continuing operations				
Rates and annual charges	–	2,739	3,651	15,003
User charges and fees	–	5,153	409	6,455
Interest and investment revenue	–	174	117	1,166
Other revenues	3	14	–	731
Grants and contributions provided for operating purposes	1,747	196	61	15,478
Grants and contributions provided for capital purposes	–	62	33	4,252
Other income				
Net gains from disposal of assets	–	–	–	550
Total income from continuing operations	1,750	8,338	4,271	43,635
Expenses from continuing operations				
Employee benefits and on-costs	12	743	354	19,130
Borrowing costs	–	–	561	603
Materials and contracts	1,113	1,682	1,212	11,517
Depreciation and amortisation	133	960	1,171	13,584
Other expenses	53	3,768	183	962
Revaluation decrement / impairment of IPPE	–	–	–	299
Total expenses from continuing operations	1,311	7,153	3,481	46,095
Operating result from continuing operations	439	1,185	790	(2,460)
Net operating result for the year	439	1,185	790	(2,460)
Net result attributable to each council fund	439	1,185	790	(2,460)
Net operating result for the year before grants and contributions provided for capital purposes	439	1,123	757	(6,712)

¹ General fund refers to all Council's activities other than Water, Sewer and Other

* Other represents South West Rural Fire Zone and South West Regional Waste Management

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds.

Hilltops Council

Notes to the Financial Statements as at 30 June 2018

Note 21. Financial result and financial position by fund (continued)

Statement of Financial Position by fund				
\$ '000	2018	2018	2018	2018
ASSETS	Other	Water	Sewer	General¹
Current assets				
Cash and cash equivalents	3,210	2,492	2,855	20,106
Investments	–	8,064	1,075	12,176
Receivables	35	1,539	388	7,694
Inventories	–	–	–	1,090
Other	–	–	–	1
Total current assets	3,245	12,095	4,318	41,067
Non-current assets				
Infrastructure, property, plant and equipment	642	41,674	42,392	478,401
Total non-current assets	642	41,674	42,392	478,401
TOTAL ASSETS	3,887	53,769	46,710	519,468
LIABILITIES				
Current liabilities				
Payables	–	21	65	6,381
Income received in advance	–	–	–	454
Borrowings	–	–	378	966
Provisions	–	–	51	6,582
Total current liabilities	–	21	494	14,383
Non-current liabilities				
Payables	–	–	–	555
Borrowings	–	–	7,425	4,440
Provisions	–	315	–	7,069
Total non-current liabilities	–	315	7,425	12,064
TOTAL LIABILITIES	–	336	7,919	26,447
Net assets	3,887	53,433	38,791	493,021
EQUITY				
Accumulated surplus	3,887	52,575	38,021	473,919
Revaluation reserves	–	858	770	19,102
Total equity	3,887	53,433	38,791	493,021

¹ General Fund refers to all Council's activities other than Water, Sewer and Other

* Other represents South West Rural Fire Zone and South West Regional Waste Management

NB. All amounts disclosed above are gross – that is, they include internal receivables and payables between the funds.

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 22(a). Statement of performance measures – consolidated results

\$ '000	Amounts 2018	Indicator 2018	Indicator 2017	Benchmark
Local government industry indicators – consolidated				
1. Operating performance ratio				
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions less operating expenses	<u>(4,644)</u>	-8.75%	-6.64%	> 0.00%
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions	<u>53,097</u>			
2. Own source operating revenue ratio				
Total continuing operating revenue ⁽¹⁾ excluding all grants and contributions	<u>35,316</u>	61.80%	32.58%	> 60.00%
Total continuing operating revenue ⁽¹⁾	<u>57,145</u>			
3. Unrestricted current ratio				
Current assets less all external restrictions ⁽²⁾	<u>32,797</u>	3.44x	5.53x	> 1.5x
Current liabilities less specific purpose liabilities ^(3, 4)	<u>9,537</u>			
4. Debt service cover ratio				
Operating result ⁽¹⁾ before capital excluding interest and depreciation/impairment/amortisation	<u>12,368</u>	1.78x	2.28x	> 2x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	<u>6,948</u>			
5. Rates, annual charges, interest and extra charges outstanding percentage				
Rates, annual and extra charges outstanding	<u>1,936</u>	8.31%	6.76%	< 10% regional & rural
Rates, annual and extra charges collectible	<u>23,306</u>			
6. Cash expense cover ratio				
Current year's cash and cash equivalents plus all term deposits	<u>49,975</u>	12.87 mths	12.1 mths	> 3 mths
Monthly payments from cash flow of operating and financing activities	<u>3,883</u>			

Notes

⁽¹⁾ Excludes fair value adjustments and reversal of revaluation decrements, net gain/(loss) on sale of assets and the net share of interests in joint ventures and associates.

⁽²⁾ Refer Notes 6-8 inclusive.

Also excludes any real estate and land for resale not expected to be sold in the next 12 months.

⁽³⁾ Refer to Notes 10 and 11.

⁽⁴⁾ Refer to Note 10(b) and 11(b) – excludes all payables and provisions not expected to be paid in the next 12 months (incl. ELE).

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 22(b). Statement of performance measures – by fund

\$ '000	General indicators ⁵		Water indicators		Sewer indicators		Benchmark
	2018	2017	2018	2017	2018	2017	
Local government industry indicators – by fund							
1. Operating performance ratio							
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions							
less operating expenses							
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions	-16.08%	16.40%	13.57%	-8.82%	17.86%	-294.23%	> 0.00%
2. Own source operating revenue ratio							
Total continuing operating revenue ⁽¹⁾ excluding capital grants and contributions							
Total continuing operating revenue ⁽¹⁾	52.10%	35.92%	96.91%	97.28%	97.80%	85.41%	> 60.00%
3. Unrestricted current ratio							
Current assets less all external restrictions ⁽²⁾							
Current liabilities less specific purpose liabilities ^(3, 4)	3.44x	5.53x	538.38x	58.68x	8.62x	48.80x	> 1.5x

Notes

(1) - (4) Refer to Notes at Note 22a above.

(5) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 22(b). Statement of performance measures – by fund (continued)

\$ '000	General indicators ⁵		Water indicators		Sewer indicators		Benchmark
	2018	2017	2018	2017	2018	2017	
Local government industry indicators – by fund (continued)							
4. Debt service cover ratio							
Operating result ⁽¹⁾ before capital excluding interest and depreciation/impairment/amortisation	5.06x	2.06x	0.00x	636.00x	0.46x	3.01x	> 2x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates, annual charges, interest and extra charges outstanding percentage							
Rates, annual and extra charges outstanding	4.53%	5.31%	28.55%	13.45%	10.63%	9.77%	< 10% regional & rural
Rates, annual and extra charges collectible							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	11.49	11.14	0.00	2,653.00	0.00	876.00	> 3 months
Monthly payments from cash flow of operating and financing activities	months	months	months	months	months	months	

Notes

(1) Refer to Notes at Note 22a above.

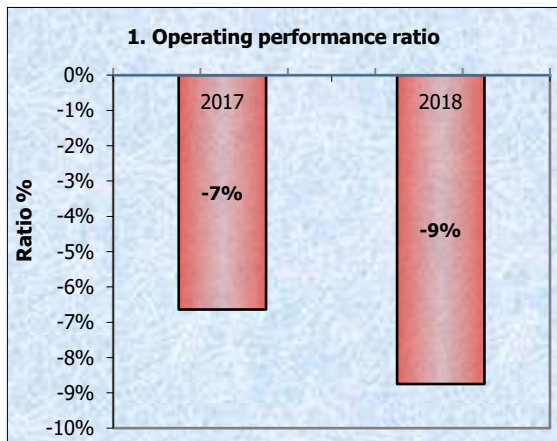
(5) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

END OF AUDITED FINANCIAL STATEMENTS

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 22(c). Statement of performance measures – consolidated results (graphs)



Benchmark: — Minimum $\geq 0.00\%$

Source for benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2017/18 result

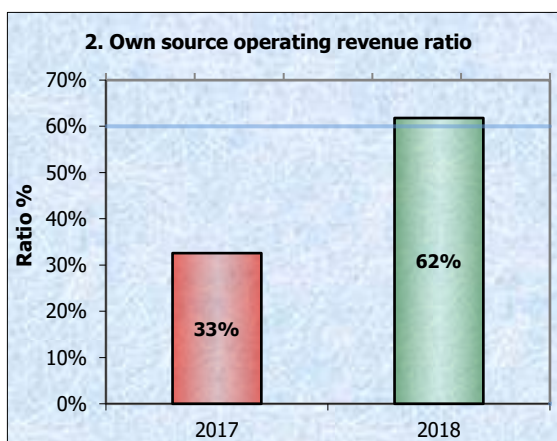
2017/18 ratio -8.75%

The Actual Operating Deficit of \$46,000 has been a significant improvement over the budgeted deficit of \$7,362,000. Transition costs associated with the Council merger have had a detrimental impact on the Operating Result. Council is working to reduce these costs in 2018-19.



Ratio achieves benchmark

Ratio is outside benchmark



Benchmark: — Minimum $\geq 60.00\%$

Source for benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2017/18 result

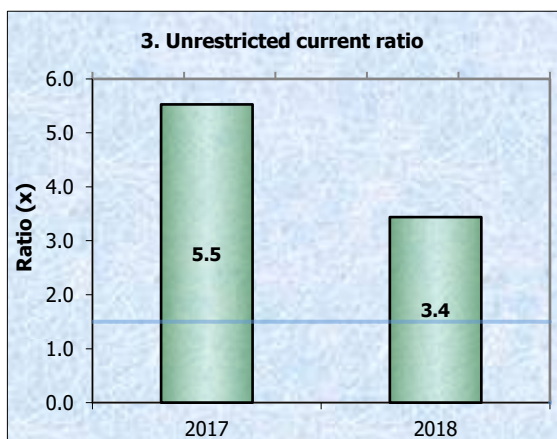
2017/18 ratio 61.80%

Council has met the industry benchmark for Own Source Revenue for the first time. The 2017 Result is skewed by significant operating grant income associated with the merger that artificially lowered the ratio in 2017. The ratio has normalised in 2018 to record a favourable result.



Ratio achieves benchmark

Ratio is outside benchmark



Benchmark: — Minimum ≥ 1.50

Source for benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2017/18 result

2017/18 ratio 3.44x

Council remains well above the industry benchmark of 1.5 in 2018 and has sufficient working capital to meet all financial obligations as they fall due.



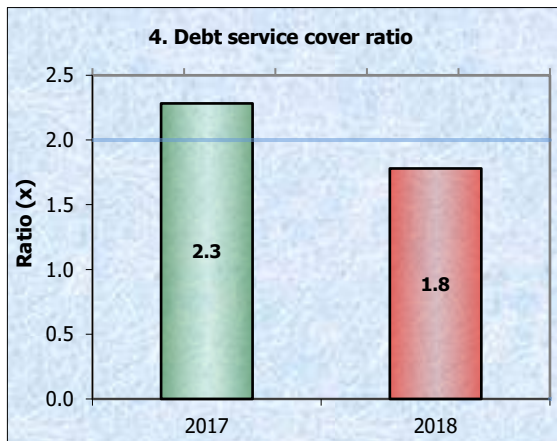
Ratio achieves benchmark

Ratio is outside benchmark

Hilltops Council

Notes to the Financial Statements for the year ended 30 June 2018

Note 22(c). Statement of performance measures – consolidated results (graphs)



Benchmark: — Minimum ≥ 2.00

Source for benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2017/18 result

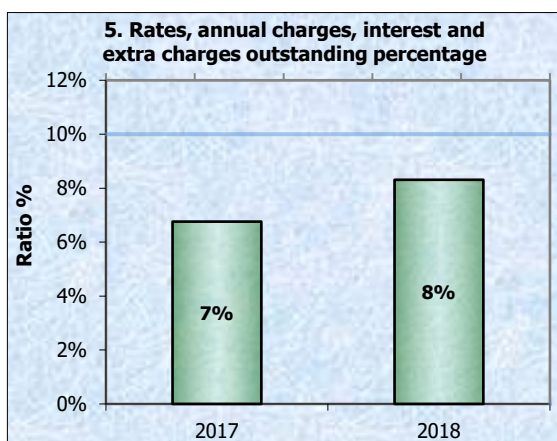
2017/18 ratio 1.78x

Council retired \$5.7M in debt in 2018 and maintains debt levels well below industry benchmarks. Council has ample operating cash to service the remaining level of borrowing repayments.



Ratio achieves benchmark

Ratio is outside benchmark



Benchmark: — Maximum $< 10.00\%$

Source for Benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of rates and annual charges outstanding ratio

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2017/18 result

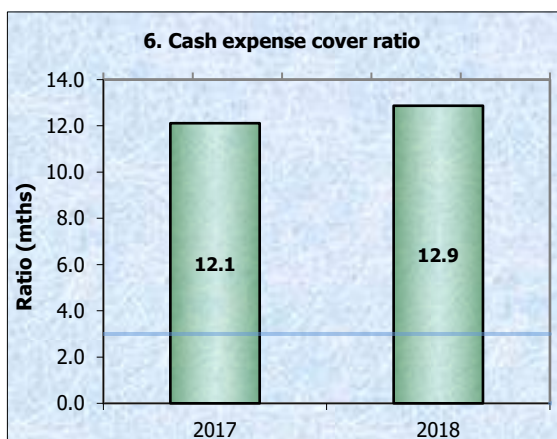
2017/18 ratio 8.31%

The rates and annual charges ratio has seen a minor deterioration throughout 2018. This remains a respectable result considering the impact of drought on rural communities.



Ratio is within Benchmark

Ratio is outside Benchmark



Benchmark: — Minimum ≥ 3.00

Source for benchmark: Code of Accounting Practice and Financial Reporting #26

Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2017/18 result

2017/18 ratio 12.87 mths

Council remains in a very favourable cash liquidity position and is comfortably well above the industry benchmark.



Ratio achieves benchmark

Ratio is outside benchmark

Hilltops Council

Notes to the Financial Statements

for the year ended 30 June 2018

Note 23. Council information and contact details

Principal place of business:

189 Boorowa Street
Young NSW 2594

Contact details

Mailing address:

Locked Bag 5
Young NSW 2594

Opening hours:

8.30am - 5.00pm Monday to Friday

Telephone: 1300 445 586

Facsimile: 02 6384 2576

Internet: www.hilltops.nsw.gov.au

Email: mail@hilltops.nsw.gov.au

Officers

GENERAL MANAGER

Dr Edwina Marks

RESPONSIBLE ACCOUNTING OFFICER

Trevor Drowley

PUBLIC OFFICER

Dr Edwina Marks

AUDITORS

NSW Audit Office

Elected members

MAYOR

Brian Ingram

COUNCILLORS

Tony Wallace (Deputy mayor)

Greg Armstrong

Tony Flanery

John Horton

Chris Manchester

Rita O'Connor

Margaret Roles

Matthew Stadtmiller

Wendy Tuckerman

John Walker

Other information

ABN: 31 984 256 429



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial report

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial report of Hilltops Council (the Council), which comprise the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2018, the Statement of Financial Position as at 30 June 2018, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, notes comprising a summary of significant accounting policies and other explanatory information, and the Statement by Councillors and Management.

In my opinion,

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial report:
 - has been presented, in all material respects, in accordance with the requirements of this Division
 - is consistent with the Council's accounting records
 - presents fairly, in all material respects, the financial position of the Council as at 30 June 2018, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial report have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Report' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

Other information comprises the information included in the Council's annual report for the year ended 30 June 2018, other than the financial report and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial report does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule 2 - Permissible income for general rates.

In connection with my audit of the financial report, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Report

The Councillors are responsible for the preparation and fair presentation of the financial report in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial report that is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting except where the Council will be dissolved or amalgamated by an Act of Parliament, or otherwise cease operations.

Auditor's Responsibilities for the Audit of the Financial Report

My objectives are to:

- obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial report.

A description of my responsibilities for the audit of the financial report is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

My opinion does *not* provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note 17 Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule 2 - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial report on any website where it may be presented
- about any other information which may have been hyperlinked to/from the financial report.



Lawrissa Chan
Director

17 September 2019
SYDNEY

Brian Ingram
Mayor
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Lawrissa Chan
Phone no: 02 9275 7255
Our ref: D1804161/1740

17 September 2019

Dear Cr Ingram

Report on the Conduct of the Audit for the year ended 30 June 2018 Hilltops Council

I have audited the general purpose financial statements of the Hilltops Council (the Council) for the year ended 30 June 2018 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's general purpose financial statements.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2018 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the general purpose financial statements issued under section 417(2) of the Act.

INCOME STATEMENT

Operating result

	2018 \$'000	2017* \$'000	Variance %
Rates and annual charges revenue	21,393	20,913	 2.3
Grants and contributions revenue	21,829	47,051	 53.6
Operating result for the year	(46)	1,767	 8.8
Net operating result before capital amounts	(4,393)	(16,975)	 74.1

* Reporting period was 13 May 2016 to 30 June 2017.

The following comments are made in respect of Council's operating result for the year:

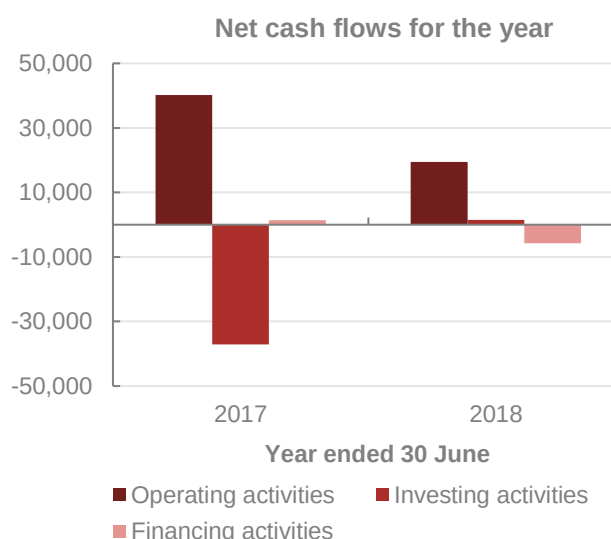
- Rates and annual charges revenue was \$21.4 million (\$20.9 million for the year ended 30 June 2017). This is due to the permissible rate increase of 1.5 per cent granted by the Minister for Local Government and the growth in rateable properties from 11,089 in the prior year to 11,120 in the current year.
- Grants and contributions revenue was \$21.8 million (\$47.1 million for the year ended 30 June 2017). The decrease of \$25.2 million (53.6 per cent) is due to merger funding provided in the prior year as a result of the amalgamation of the former three Councils. This includes stronger communities funding of \$15.0 million and new council implementation funding of \$5 million. There was also a reduction in financial assistance grants of \$3.3 million.
- The Council's operating result for the year was a deficit of \$0.046 million (\$1.8 million surplus for the year ended 30 June 2017). This is attributed to the newly amalgamated Council receiving Stronger Communities Funding in the previous financial year. The Council budgeted for a deficit of \$7.4 million.
- The Council's net operating result before capital grants and contributions was a deficit of \$4.4 million (\$17.0 million deficit for the year ended 30 June 2017). This has improved as there was a fair value decrement of \$12.7 million from the valuation of the sewerage network in the prior year.

STATEMENT OF CASH FLOWS

Net cash from operating activities decreased by \$20.8 million this year due to a reduction in grants and contributions.

Net cash used in investing activities was \$1.5 million this year as Council spent less on IPPE and no investment on investment securities.

Net cash used in financing activities in 2016–17 was lower due to repayment of borrowings and advances.



FINANCIAL POSITION

Cash and Investments

Cash and Investments	2018	2017	Commentary
	\$'000	\$'000	
External restrictions	25,353	23,498	• Externally restricted cash and investments are restricted in their use by externally imposed requirements. There was minimal movement in this balance.
Internal restrictions	23,923	30,757	
Unrestricted	702	740	
Cash and investments	49,978	54,995	• Internally restricted cash and investments are restricted in their use by resolution or policy of Council to reflect identified programs of works and any forward plans. This is due to a reduction in funds for infrastructure replacement, carryover works and implementation funding. • Unrestricted cash and investments was \$0.7 million, which is available to provide liquidity for day-to-day operations of the Council. It has remained consistent year on year.

Debt

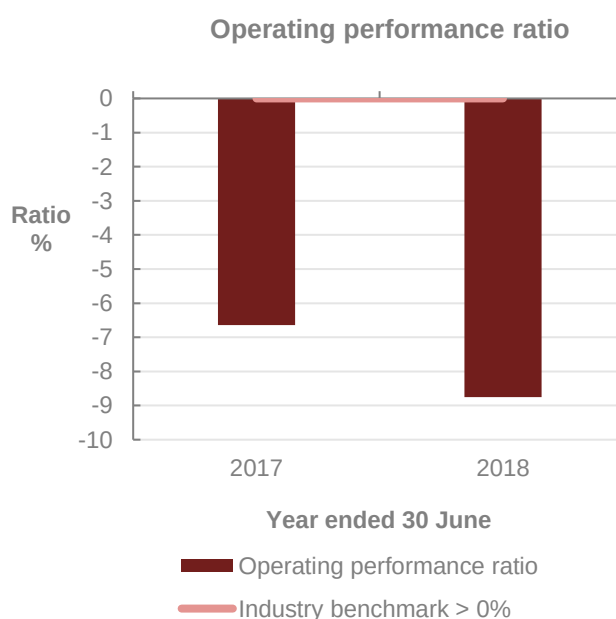
Council has \$13.2 million of borrowings as at 30 June 2018 (2017: \$19.0). Loans are secured over general rating income of Council.

PERFORMANCE RATIOS

The definition of each ratio analysed below (except for the 'building and infrastructure renewals ratio') is included in Note 22 of the Council's audited general purpose financial statements. The 'building and infrastructure renewals ratio' is defined in Council's Special Schedule 7 which has not been audited.

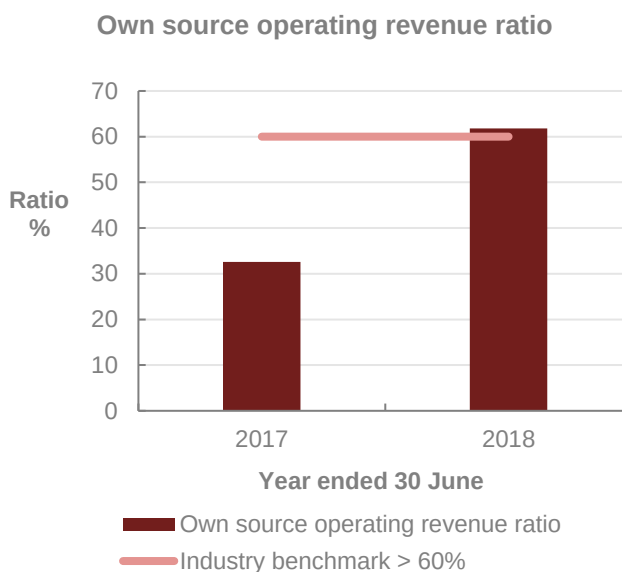
Operating performance ratio

- The 'operating performances ratio' measures how well Council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by the Office of Local Government (OLG) is greater than zero per cent.
- The operating performance ratio of -8.75% (2017: -6.64%) is below the industry benchmark of greater than 0%.
- The operating performance ratio decreased due to the reduction in grants and contributions provided for operating purposes. In the prior year, \$5 million was received for the new council implementation fund and there was a reduction in Financial Assistance Grants of \$3.3 million.



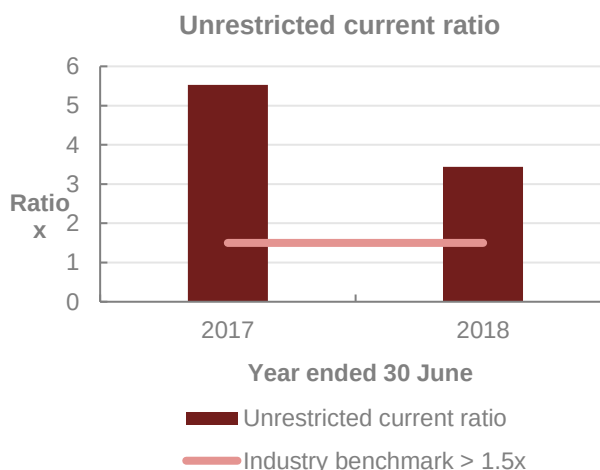
Own source operating revenue ratio

- The 'own source operating revenue ratio' measures Council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.
- The Council's own source operating revenue ratio of 61.8% is above the industry benchmark of 60%. This indicates that the council is less reliant on external funding sources, such as grants and contributions.
- The own source operating revenue ratio increased as there was less funding from grants and contributions in the current year. The 2017 result was impacted by one-off funding provided to amalgamated councils.



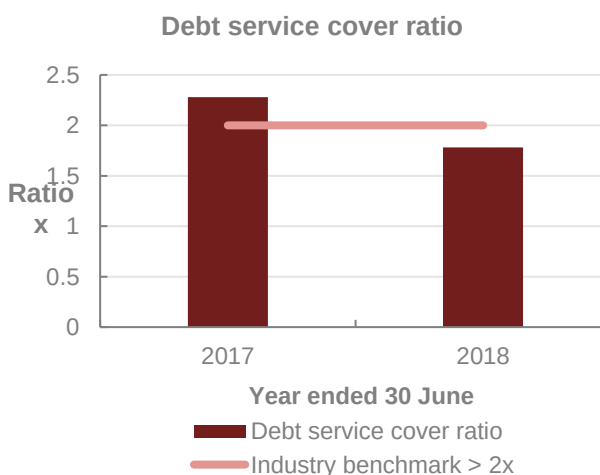
Unrestricted current ratio

- The 'unrestricted current ratio' is specific to local government and represents Council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.
- The Council's liquidity ratio of 3.44 times is greater than the industry benchmark minimum of greater than 1.5 times. This indicates that the Council has sufficient liquidity to meet its current liabilities as and when they fall due.



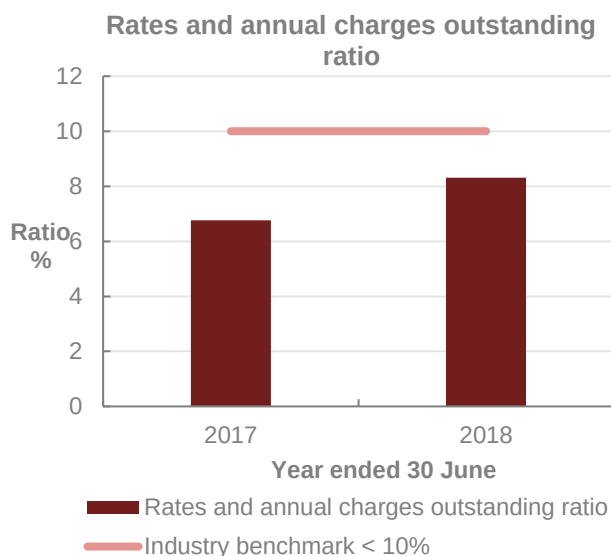
Debt service cover ratio

- The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.
- Council's debt service cover ratio of 1.78 times is below the industry benchmark of greater than 2 times. The ratio indicates that Council may not have adequate operating cash to fund its debt obligations.



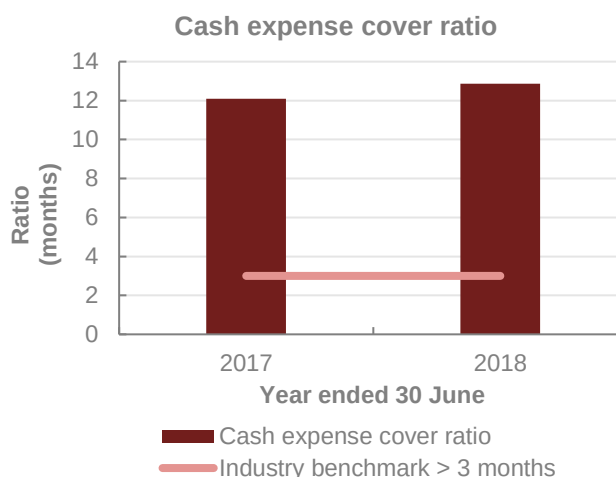
Rates and annual charges outstanding ratio

- The 'rates and annual charges outstanding ratio' assesses the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than ten per cent for rural Councils.
- Council's rates and annual charges outstanding ratio of 8.31% is within the industry benchmark of less than 10% for rural councils.
- The ratio has increased this year, suggesting that Council's rates collection processes can be improved.



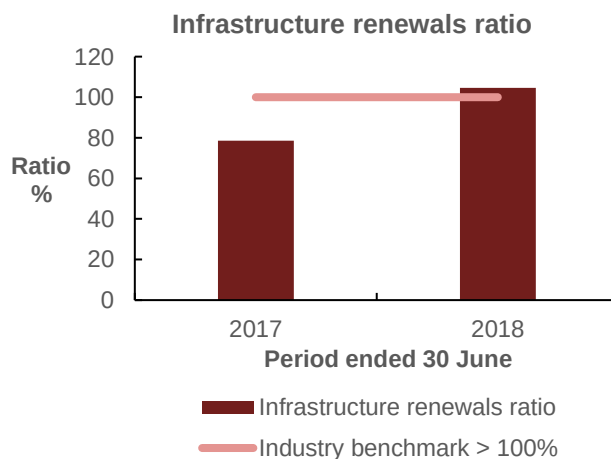
Cash expense cover ratio

- The cash expense cover ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.
- The Council's cash expense cover ratio was 13 months, which is above the industry benchmark of greater than 3 months. This indicates that the Council had the capacity to cover approximately 13 months of cash expenditure without additional cash inflows.
- This ratio has remained steady over the past two years.



Buildings and Infrastructure renewals ratio (unaudited)

- The 'building and infrastructure renewals ratio' assesses the rate at which these assets are being renewed against the rate at which they are depreciating. The benchmark set by OLG is greater than 100 per cent.
- The Council's infrastructure renewals ratio was 104.6%, which is above the industry benchmark of greater than 100%. Council had performed significant renewal works on roads this year compared to 2016–17.
- This ratio is sourced from Council's Special Schedule 7 which has not been audited.



OTHER MATTERS

New accounting standards implemented

AASB 2016-2 'Disclosure Initiative – Amendments to AASB 107'

Effective for annual reporting periods beginning on or after 1 January 2017

This Standard requires entities to provide disclosures that enable users of financial statements to evaluate changes (both cash flows and non-cash changes) in liabilities arising from financing activities. Council's disclosure of the changes in their liabilities arising from financing activities is disclosed in Note 10.

AASB 2016-4 'Recoverable Amount of Non-Cash Generating Specialised Assets of Not-for-Profit Entities' – Amendments to AASB 136

Effective for annual reporting periods beginning on or after 1 January 2017

This Standard no longer requires not-for-profit entities to consider AASB 136 Impairment of Assets for non-cash-generating specialised assets at fair value.

It is expected for not-for-profit entities holding non-cash-generating, the recoverable amount of these assets is expected to be materially the same as fair value, determined under AASB 113 Fair Value Measurement.

Legislative compliance

My audit procedures identified the following instances of non-compliance with legislative requirements that will be reported to the Minister.

- The Council did not comply with sections 416 of the Local Government Act. Council did not meet the extension date of 28 February 2019 to lodge the financial statements, as agreed with the former Office of Local Government.
- Council has not conducted a comprehensive re-valuation of 'other structures' since 30 June 2013. This is a departure from the Local Government Code of Accounting Practice and Financial Reporting which requires Council to undertake formal valuations at least once every five years.



Lawrissa Chan
Director, Financial Audit Services

cc: Dr Edwina Marks, General Manager
Mr Andrew Fletcher, Chair of the Audit, Risk and Improvement Committee
Jim Betts, Secretary of the Department of Planning, Industry and Environment

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2018



Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2018

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Background

- (i) These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
 - (ii) The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.
 - (iii) For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).
 - (iv) In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).
-

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2018

Statement by Councillors and Management

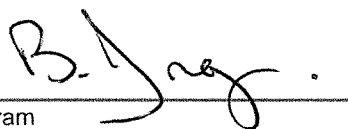
made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

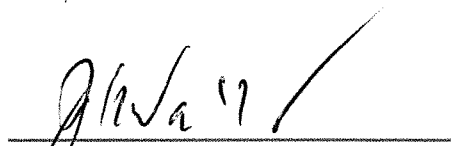
- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government',
- the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality',
- the Local Government Code of Accounting Practice and Financial Reporting and,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these financial statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.**Signed in accordance with a resolution of Council made on 12 December 2018.**


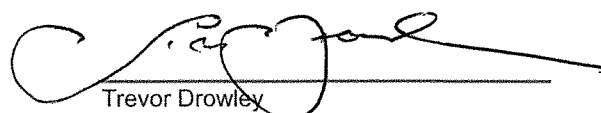
Brian Ingram

Mayor**13 September 2019**


John Walker

Councillor**13 September 2019**


Dr Edwina Marks

General manager**13 September 2019**


Trevor Drowley

Responsible accounting officer**13 September 2019**

Hilltops Council

Income Statement of Council's Water Supply Business Activity

for the year ended 30 June 2018

\$ '000	2018	13/5/16 to 30/6/17
Income from continuing operations		
Access charges	2,739	2,569
User charges	5,088	4,534
Fees	65	86
Interest	174	253
Grants and contributions provided for non-capital purposes	196	83
Profit from the sale of assets	–	364
Other income	14	34
Total income from continuing operations	8,276	7,923
Expenses from continuing operations		
Employee benefits and on-costs	743	1,093
Borrowing costs	–	2
Materials and contracts	1,682	959
Depreciation, amortisation and impairment	960	2,483
Water purchase charges	3,620	4,050
Other expenses	148	–
Total expenses from continuing operations	7,153	8,587
Surplus (deficit) from continuing operations before capital amounts	1,123	(664)
Grants and contributions provided for capital purposes	62	103
Surplus (deficit) from continuing operations after capital amounts	1,185	(561)
Surplus (deficit) from all operations before tax	1,185	(561)
Less: corporate taxation equivalent (30%) [based on result before capital]	(337)	–
SURPLUS (DEFICIT) AFTER TAX	848	(561)
Plus opening retained profits	51,390	–
Plus assets and liabilities transferred from former councils	–	51,951
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	337	–
Closing retained profits	52,575	51,390
Return on capital %	2.7%	-1.6%
Subsidy from Council	–	1,637
Calculation of dividend payable:		
Surplus (deficit) after tax	848	(561)
Less: capital grants and contributions (excluding developer contributions)	(62)	(103)
Surplus for dividend calculation purposes	786	–
Potential dividend calculated from surplus	393	–

Hilltops Council

Income Statement of Council's Sewerage Business Activity

for the year ended 30 June 2018

\$ '000	2018	13/5/16 to 30/6/17
Income from continuing operations		
Access charges	3,651	3,603
User charges	295	364
Liquid trade waste charges	16	15
Fees	98	41
Interest	117	174
Grants and contributions provided for non-capital purposes	61	64
Total income from continuing operations	4,238	4,261
Expenses from continuing operations		
Employee benefits and on-costs	354	747
Borrowing costs	561	707
Materials and contracts	1,212	1,182
Depreciation, amortisation and impairment	1,171	1,693
Other expenses	183	12,489
Total expenses from continuing operations	3,481	16,818
Surplus (deficit) from continuing operations before capital amounts	757	(12,557)
Grants and contributions provided for capital purposes	33	659
Surplus (deficit) from continuing operations after capital amounts	790	(11,898)
Surplus (deficit) from all operations before tax	790	(11,898)
Less: corporate taxation equivalent (30%) [based on result before capital]	(227)	–
SURPLUS (DEFICIT) AFTER TAX	563	(11,898)
Plus opening retained profits	37,231	–
Plus assets and liabilities transferred from former councils	–	49,790
Plus/less: prior period adjustments	–	(661)
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	227	–
Closing retained profits	38,021	37,231
Return on capital %	3.1%	-28.1%
Subsidy from Council	–	12,854
Calculation of dividend payable:		
Surplus (deficit) after tax	563	(11,898)
Less: capital grants and contributions (excluding developer contributions)	(33)	(659)
Surplus for dividend calculation purposes	530	–
Potential dividend calculated from surplus	265	–

Hilltops Council

Income Statement of Council's Other Business Activities

for the year ended 30 June 2018

	South West Regional Waste Management Group Category 2		South West Rural Fire Zone Category 2	
\$ '000	2018	13/5/16 to 30/6/17	2018	13/5/16 to 30/6/17
Income from continuing operations				
Interest	–	49	–	–
Grants and contributions provided for non-capital purposes	1,747	2,024	–	83
Other income	3	–	–	–
Total income from continuing operations	1,750	2,073	–	83
Expenses from continuing operations				
Employee benefits and on-costs	6	27	6	–
Borrowing costs	–	1	–	–
Materials and contracts	1,081	1,365	32	69
Depreciation, amortisation and impairment	133	136	–	–
Other expenses	17	1	36	14
Total expenses from continuing operations	1,237	1,530	74	83
Surplus (deficit) from continuing operations before capital amounts	513	543	(74)	–
Surplus (deficit) from continuing operations after capital amounts	513	543	(74)	–
Surplus (deficit) from all operations before tax	513	543	(74)	–
Less: corporate taxation equivalent (30%) [based on result before capital]	(154)	(163)	–	–
SURPLUS (DEFICIT) AFTER TAX	359	380	(74)	–
Plus opening retained profits	3,259	–	188	–
Plus assets and liabilities transferred from former councils	–	2,716	–	188
Plus adjustments for amounts unpaid:				
– Corporate taxation equivalent	154	163	–	–
Closing retained profits	3,772	3,259	114	188
Return on capital %	79.9%	70.3%	n/a	n/a
Subsidy from Council	–	–	74	–

Hilltops Council

Statement of Financial Position – Council's Water Supply Business Activity
as at 30 June 2018

\$ '000	2018	2017
ASSETS		
Current assets		
Cash and cash equivalents	2,492	2,652
Investments	8,064	6,718
Receivables	1,539	1,251
Total current assets	12,095	10,621
Non-current assets		
Infrastructure, property, plant and equipment	41,674	40,950
Total non-current assets	41,674	40,950
TOTAL ASSETS	53,769	51,571
LIABILITIES		
Current liabilities		
Payables	21	100
Provisions	–	81
Total current liabilities	21	181
Non-current liabilities		
Provisions	315	–
Total non-current liabilities	315	–
TOTAL LIABILITIES	336	181
NET ASSETS	53,433	51,390
EQUITY		
Accumulated surplus	52,575	51,390
Revaluation reserves	858	–
TOTAL EQUITY	53,433	51,390

Hilltops Council

Statement of Financial Position – Council's Sewerage Business Activity
as at 30 June 2018

\$ '000	2018	2017
ASSETS		
Current assets		
Cash and cash equivalents	2,855	1,751
Investments	1,075	5,651
Receivables	388	455
Total current Assets	4,318	7,857
Non-current assets		
Infrastructure, property, plant and equipment	42,392	42,183
Total non-current assets	42,392	42,183
TOTAL ASSETS	46,710	50,040
LIABILITIES		
Current liabilities		
Payables	65	111
Borrowings	378	–
Provisions	51	50
Total current liabilities	494	161
Non-current liabilities		
Borrowings	7,425	12,648
Total non-current liabilities	7,425	12,648
TOTAL LIABILITIES	7,919	12,809
NET ASSETS	38,791	37,231
EQUITY		
Accumulated surplus	38,021	37,231
Revaluation reserves	770	–
TOTAL EQUITY	38,791	37,231

Hilltops Council

Statement of Financial Position – Council's Other Business Activities

as at 30 June 2018

	South West Regional Waste Management Group Category 2		South West Rural Fire Zone Category 2	
\$ '000	2018	2017	2018	2017
ASSETS				
Current assets				
Cash and cash equivalents	3,095	2,327	115	11
Receivables	35	158	–	177
Total Current Assets	3,130	2,485	115	188
Non-current assets				
Infrastructure, property, plant and equipment	642	774	–	–
Total non-current assets	642	774	–	–
TOTAL ASSETS	3,772	3,259	115	188
LIABILITIES				
TOTAL LIABILITIES	–	–	–	–
NET ASSETS	3,772	3,259	115	188
EQUITY				
Accumulated surplus	3,772	3,259	115	188
TOTAL EQUITY	3,772	3,259	115	188

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2018

Contents of the notes accompanying the financial statements

Note	Details	Page
1	Summary of significant accounting policies	10
2	Water Supply Business Best-Practice Management disclosure requirements	14
3	Sewerage Business Best-Practice Management disclosure requirements	16

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 1. Significant accounting policies

A statement summarising the supplemental accounting policies adopted in the preparation of the Special Purpose Financial Statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these Special Purpose Financial Statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these Special Purpose Financial Statements have been prepared in accordance with the Local Government Act 1993 (NSW), the Local Government (General) Regulation, and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, current values of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government.

The framework for its application is set out in the June 1996 NSW government policy statement titled 'Application of National Competition Policy to Local Government'.

The Pricing and Costing for Council Businesses, A Guide to Competitive Neutrality issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements.

These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, return on investments (rate of return), and dividends paid.

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 1. Significant accounting policies (continued)

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Monetary amounts

Amounts shown in the financial statements are in Australian currency and rounded to the nearest thousand dollars, except for Note 2 (Water Supply Best-Practice Management Disclosures) and Note 3 (Sewerage Best-Practice Management Disclosures).

As required by Crown Lands and Water (CLAW), the amounts shown in Note 2 and Note 3 are disclosed in whole dollars.

(i) Taxation-equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – 30%

Land tax – the first \$629,000 of combined land values attracts **0%**. For the combined land values in excess of \$629,001 up to \$3,846,000 the rate is **1.6% + \$100**. For the remaining combined land value that exceeds \$3,846,000 a premium marginal rate of **2.0%** applies.

Payroll tax – 5.45% on the value of taxable salaries and wages in excess of \$750,000.

In accordance with Crown Lands and Water (CLAW), a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the NSW Office of Water Guidelines to as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the *Local Government Act, 1993*.

Achievement of substantial compliance to the NSW Office of Water Guidelines is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 1. Significant accounting policies (continued)

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 30%.

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 30% is/is not the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges payable on all category 1 businesses has been applied to all land assets owned or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(ii) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed.

Subsidies occur when Council provides services on a less-than-cost-recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations.

Accordingly, 'subsidies disclosed' (in relation to National Competition Policy) represents the difference between revenue generated from 'rate of return' pricing and revenue generated from prices set by Council in any given financial year.

The overall effect of subsidies is contained within the Income Statement of each reported business activity.

(iii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 1. Significant accounting policies (continued)

Such funds are subsequently available for meeting commitments or financing future investment strategies.

The actual rate of return achieved by each business activity is disclosed at the foot of each respective Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 2.63% at 30/6/18.

(iv) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the DPIW guidelines and must not exceed:

- (i) 50% of this surplus in any one year, or
- (ii) the number of water supply or sewerage assessments at 30 June 2018 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the DPIW guidelines a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are required to be submitted to the DPIW.

END OF AUDITED SPECIAL PURPOSE FINANCIAL STATEMENTS

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 2. Water supply business best-practice management disclosure requirements

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2018

1. Calculation and payment of tax-equivalents

[all local government local water utilities must pay this dividend for tax equivalents]

(i)	Calculated tax equivalents	–
(ii)	Number of assessments multiplied by \$3/assessment	14,325
(iii)	Amounts payable for tax equivalents [lesser of (i) and (ii)]	–
(iv)	Amounts actually paid for tax equivalents	

2. Dividend from surplus

(i)	50% of surplus before dividends [calculated in accordance with Best-Practice Management for Water Supply and Sewerage Guidelines]	393,050
(ii)	Number of assessments multiplied by \$30/assessment, less tax equivalent charges/assessment	143,250
(iii)	Cumulative surplus before dividends for the 3 years to 30 June 2018, less the cumulative dividends paid for the 2 years to 30 June 2017 and 12 May 2016	122,100

2018 Surplus	786,100	2017 Surplus	(664,000)	2016 Surplus	
		2017 Dividend	–	2016 Dividend	

(iv)	Maximum dividend from surplus [least of (i), (ii) and (iii) above]	122,100
(v)	Dividend actually paid from surplus [refer below for required pre-dividend payment criteria]	
(vi)	Are the overhead reallocation charges to the water business fair and reasonable? ^a	

3. Required outcomes for 6 criteria

[to be eligible for the payment of a 'dividend from surplus', all the criteria below need a 'YES']

(i)	Completion of strategic business plan (including financial plan)	
(ii)	Full cost recovery, without significant cross subsidies [refer item 2 (a) in table 1 on page 22 of the Best-Practice Guidelines]	
	– Complying charges [item 2 (b) in table 1]	
	– DSP with commercial developer charges [item 2 (e) in table 1]	
	– If dual water supplies, complying charges [item 2 (g) in table 1]	
(iii)	Sound water conservation and demand management implemented	
(iv)	Sound drought management implemented	
(v)	Complete performance reporting form (by 15 September each year)	
(vi)	a. Integrated water cycle management evaluation	
	b. Complete and implement integrated water cycle management strategy	

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 2. Water supply business best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2018

National Water Initiative (NWI) financial performance indicators

NWI F1	Total revenue (water) Total income (w13) – grants for the acquisition of assets (w11a) – interest income (w9) – Aboriginal Communities W&S Program income (w10a)	\$'000	8,164
NWI F4	Revenue from residential usage charges (water) Income from residential usage charges (w6b) x 100 divided by the sum of [income from residential usage charges (w6a) + income from residential access charges (w6b)]	%	63.09%
NWI F9	Written down replacement cost of fixed assets (water) Written down current cost of system assets (w47)	\$'000	41,302
NWI F11	Operating cost (OMA) (water) Management expenses (w1) + operational and maintenance expenses (w2)	\$'000	6,045
NWI F14	Capital expenditure (water) Acquisition of fixed assets (w16)	\$'000	932
NWI F17	Economic real rate of return (water) [total income (w13) – interest income (w9) – grants for acquisition of assets (w11a) – operating costs (NWI F11) – current cost depreciation (w3)] x 100 divided by [written down current cost of system assets (w47) + plant and equipment (w33b)]	%	2.78%
NWI F26	Capital works grants (water) Grants for the acquisition of assets (w11a)	\$'000	–

- Notes:
- References to w (e.g. w12) refer to item numbers within Special Schedules 3 and 4 of Council's Annual Financial Statements.
 - The NWI performance indicators are based upon the National Performance Framework Handbook for Urban Performance Reporting Indicators and Definitions.
- a refer to 3.2 (2) on page 15 of the Best-Practice Management of Water Supply and Sewerage Guidelines, 2007

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 3. Sewerage business best-practice management disclosure requirements

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2018

1. Calculation and payment of tax-equivalents

[all local government local water utilities must pay this dividend for tax equivalents]

(i)	Calculated tax equivalents	–
(ii)	Number of assessments multiplied by \$3/assessment	14,325
(iii)	Amounts payable for tax equivalents [lesser of (i) and (ii)]	–
(iv)	Amounts actually paid for tax equivalents	

2. Dividend from surplus

(i)	50% of surplus before dividends [calculated in accordance with Best-Practice Management for Water Supply and Sewerage Guidelines]	264,950
(ii)	Number of assessments x (\$30 less tax equivalent charges per assessment)	143,250
(iii)	Cumulative surplus before dividends for the 3 years to 30 June 2018, less the cumulative dividends paid for the 2 years to 30 June 2017 and 12 May 2016	(12,027,100)

2018 Surplus	529,900	2017 Surplus	(12,557,000)	2016 Surplus	
		2017 Dividend	–	2016 Dividend	

(iv)	Maximum dividend from surplus [least of (i), (ii) and (iii) above]	n/a
(v)	Dividend actually paid from surplus [refer below for required pre-dividend payment criteria]	
(vi)	Are the overhead reallocation charges to the sewer business fair and reasonable? ^a	

3. Required outcomes for 4 criteria

[to be eligible for the payment of a 'dividend from surplus', all the criteria below need a 'YES']

(i)	Completion of strategic business plan (including financial plan)	
(ii)	Pricing with full cost-recovery, without significant cross subsidies [refer item 2 (a) in table 1 on page 22 of the Best-Practice Guidelines]	
	Complying charges	
	(a) Residential [item 2 (c) in table 1]	
	(b) Non-residential [item 2 (c) in table 1]	
	(c) Trade waste [item 2 (d) in table 1]	
	DSP with commercial developer charges [item 2 (e) in table 1]	
	Liquid trade waste approvals and policy [item 2 (f) in table 1]	
(iii)	Complete performance reporting form (by 15 September each year)	
(iv)	a. Integrated water cycle management evaluation	
	b. Complete and implement integrated water cycle management strategy	

Hilltops Council

Notes to the Special Purpose Financial Statements for the year ended 30 June 2018

Note 3. Sewerage business best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2018

National Water Initiative (NWI) financial performance indicators

NWI F2	Total revenue (sewerage) Total income (s14) – grants for acquisition of assets (s12a) – interest income (s10) – Aboriginal Communities W&S Program income (w10a)	\$'000	4,154
NWI F10	Written down replacement cost of fixed assets (sewerage) Written down current cost of system assets (s48)	\$'000	41,426
NWI F12	Operating cost (sewerage) Management expenses (s1) + operational and maintenance expenses (s2)	\$'000	1,565
NWI F15	Capital expenditure (sewerage) Acquisition of fixed assets (s17)	\$'000	586
NWI F18	Economic real rate of return (sewerage) [total income (s14) – interest income (s10) – grants for acquisition of assets (s12a) – operating cost (NWI F12) – current cost depreciation (s3)] x 100 divided by [written down current cost (i.e. WDCC) of system assets (s48) + plant and equipment (s34b)]	%	3.34%
NWI F27	Capital works grants (sewerage) Grants for the acquisition of assets (12a)	\$'000	–

National Water Initiative (NWI) financial performance indicators Water and sewer (combined)

NWI F3	Total income (water and sewerage) Total income (w13 + s14) + gain/loss on disposal of assets (w14 + s15) minus grants for acquisition of assets (w11a + s12a) – interest income (w9 + s10)	\$'000	12,318
NWI F8	Revenue from community service obligations (water and sewerage) Community service obligations (NWI F25) x 100 divided by total income (NWI F3)	%	1.08%
NWI F16	Capital expenditure (water and sewerage) Acquisition of fixed assets (w16 + s17)	\$'000	1,518
NWI F19	Economic real rate of return (water and sewerage) [total income (w13 + s14) – interest income (w9 + s10) – grants for acquisition of assets (w11a + s12a) – operating cost (NWI F11 + NWI F12) – current cost depreciation (w3 + s3)] x 100 divided by [written down replacement cost of fixed assets (NWI F9 + NWI F10) + plant and equipment (w33b + s34b)]	%	3.06%
NWI F20	Dividend (water and sewerage) Dividend paid from surplus (2 (v) of Note 2 + 2 (v) of Note 3)	\$'000	–
NWI F21	Dividend payout ratio (water and sewerage) Dividend (NWI F20) x 100 divided by net profit after tax (NWI F24)	%	0.00%

Hilltops Council

Notes to the Special Purpose Financial Statements

for the year ended 30 June 2018

Note 3. Sewerage business

best-practice management disclosure requirements (continued)

Dollars amounts shown below are in whole dollars (unless otherwise indicated)

2018

National Water Initiative (NWI) financial performance indicators

Water and sewer (combined)

NWI F22	Net debt to equity (water and sewerage)	%	-7.25%
	Overdraft (w36 + s37) + borrowings (w38 + s39) – cash and investments (w30 + s31) x 100 divided by [total assets (w35 + s36) – total liabilities (w40 + s41)]		
NWI F23	Interest cover (water and sewerage)		10
	Earnings before interest and tax (EBIT) divided by net interest		
	Earnings before interest and tax (EBIT):		2,576
	Operating result (w15a + s16a) + interest expense (w4a + s4a) – interest income (w9 + s10) – gain/loss on disposal of assets (w14 + s15) + miscellaneous expenses (w4b + w4c + s4b + s4c)		
	Net interest:		270
	Interest expense (w4a + s4a) – interest income (w9 + s10)		
NWI F24	Net profit after tax (water and sewerage)	\$'000	1,975
	Surplus before dividends (w15a + s16a) – tax equivalents paid (Note 2-1 (iv) + Note 3-1 (iv))		
NWI F25	Community service obligations (water and sewerage)	\$'000	133
	Grants for pensioner rebates (w11b + s12b)		

- Notes:
- References to w (eg. s12) refer to item numbers within Special Schedules 5 and 6 of Council's Annual Financial Statements.
 - The NWI performance indicators are based upon the National Performance Framework Handbook for Urban Performance Reporting Indicators and Definitions.
- a refer to 3.2 (2) on page 15 of the Best-Practice Management of Water Supply and Sewerage Guidelines, 2007



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial report

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial report (the financial report) of Hilltops Council's (the Council) Declared Business Activities, which comprise the Income Statement of each Declared Business Activity for the year ended 30 June 2018, the Statement of Financial Position of each Declared Business Activity as at 30 June 2018, notes comprising a summary of Significant accounting policies and other explanatory information for the Business Activities declared by Council, and the Statement by Councillors and Management.

The Declared Business Activities of the Council are:

- Sewerage
- Water Supply
- South West Regional Waste Management Group
- South West Rural Fire Zone.

In my opinion, the financial report presents fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2018, and its financial performance for the year then ended, in accordance with the Australian Accounting Standards described in Note 1 and the Local Government Code of Accounting Practice and Financial Reporting (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Report' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to Note 1 to the financial report which describes the basis of accounting. The financial report has been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial report may not be suitable for another purpose.

Other Information

Other information comprises the information included in the Council's annual report for the year ended 30 June 2018, other than the financial report and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial report does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 2 - Permissible income for general rates.

In connection with my audit of the financial report, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Report

The Councillors are responsible for the preparation and fair presentation of the financial report and for determining that the accounting policies, described in Note 1 to the financial report, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial report that is free from material misstatement, whether due to fraud or error.

In preparing the financial report, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless it is not appropriate to do so.

Auditor's Responsibilities for the Audit of the Financial Report

My objectives are to:

- obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial report.

A description of my responsibilities for the audit of the financial report is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the best practice management disclosures in Notes 2 and 3 of the financial report
- about the security and controls over the electronic publication of the audited financial report on any website where it may be presented
- about any other information which may have been hyperlinked to/from the financial report.



Lawrissa Chan
Director

17 September 2019
SYDNEY

Hilltops Council

SPECIAL SCHEDULES

for the year ended 30 June 2018



Hilltops Council

Special Schedules for the year ended 30 June 2018

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¹ Special Schedules are not audited (with the exception of Special Schedule 2).

Background

- (i) These Special Schedules have been designed to meet the requirements of special purpose users such as;
 - the NSW Grants Commission
 - the Australian Bureau of Statistics (ABS),
 - the NSW Office of Water (NOW), and
 - the Office of Local Government (OLG).
- (ii) The financial data is collected for various uses including;
 - the allocation of Financial Assistance Grants,
 - the incorporation of Local Government financial figures in national statistics,
 - the monitoring of loan approvals,
 - the allocation of borrowing rights, and
 - the monitoring of the financial activities of specific services.

Hilltops Council

Special Schedule 1 – Net Cost of Services

for the year ended 30 June 2018

\$'000

Function or activity	Expenses from continuing operations	Income from continuing operations		Net cost of services
		Non-capital	Capital	
Governance	1,080	–	–	(1,080)
Administration	328	742	646	1,060
Public order and safety				
Fire service levy, fire protection, emergency services	1,253	430	221	(602)
Beach control	–	–	–	–
Enforcement of local government regulations	165	50	–	(115)
Animal control	119	18	–	(101)
Other	–	–	–	–
Total public order and safety	1,537	498	221	(818)
Health	141	45	–	(96)
Environment				
Noxious plants and insect/vermin control	906	253	–	(653)
Other environmental protection	32	7	–	(25)
Solid waste management	4,391	4,916	–	525
Street cleaning	–	–	–	–
Drainage	291	6	–	(285)
Stormwater management	471	115	–	(356)
Total environment	6,091	5,297	–	(794)
Community services and education				
Administration and education	144	–	–	(144)
Social protection (welfare)	–	–	–	–
Aged persons and disabled	2	–	–	(2)
Children's services	313	2	–	(311)
Total community services and education	459	2	–	(457)
Housing and community amenities				
Public cemeteries	1,514	225	–	(1,289)
Public conveniences	338	–	–	(338)
Street lighting	233	91	–	(142)
Town planning	22	121	–	99
Other community amenities	–	–	–	–
Total housing and community amenities	2,107	437	–	(1,670)
Water supplies	7,153	8,276	62	1,185
Sewerage services	3,481	4,238	33	790

Hilltops Council

Special Schedule 1 – Net Cost of Services (continued)

for the year ended 30 June 2018

\$'000

Function or activity	Expenses from continuing operations	Income from continuing operations		Net cost of services
		Non-capital	Capital	
Recreation and culture				
Public libraries	772	229	—	(543)
Museums	50	—	—	(50)
Art galleries	—	—	—	—
Community centres and halls	684	24	750	90
Performing arts venues	—	—	—	—
Other performing arts	—	—	—	—
Other cultural services	—	—	—	—
Sporting grounds and venues	3,985	116	4	(3,865)
Swimming pools	1,016	—	—	(1,016)
Parks and gardens (lakes)	1,331	84	—	(1,247)
Other sport and recreation	—	—	—	—
Total recreation and culture	7,838	453	754	(6,631)
Fuel and energy	997	154	—	(843)
Agriculture	—	—	—	—
Mining, manufacturing and construction				
Building control	577	387	—	(190)
Other mining, manufacturing and construction	—	22	—	22
Total mining, manufacturing and const.	577	409	—	(168)
Transport and communication				
Urban roads (UR) – local	3,472	—	—	(3,472)
Urban roads – regional	2,988	—	—	(2,988)
Sealed rural roads (SRR) – local	5,223	128	412	(4,683)
Sealed rural roads (SRR) – regional	4,993	4,925	457	389
Unsealed rural roads (URR) – local	3,065	2,410	1,762	1,107
Unsealed rural roads (URR) – regional	—	—	—	—
Bridges on UR – local	—	—	—	—
Bridges on SRR – local	2,263	—	—	(2,263)
Bridges on URR – local	—	—	—	—
Bridges on regional roads	—	—	—	—
Parking areas	—	23	—	23
Footpaths	811	1	—	(810)
Aerodromes	48	—	—	(48)
Other transport and communication	—	—	—	—
Total transport and communication	22,863	7,487	2,631	(12,745)
Economic affairs				
Camping areas and caravan parks	173	223	—	50
Other economic affairs	3,215	3,849	—	634
Total economic affairs	3,388	4,072	—	684
Totals – functions	58,040	32,110	4,347	(21,583)
General purpose revenues ⁽¹⁾		21,537		21,537
Share of interests – joint ventures and associates using the equity method	—	—		—
NET OPERATING RESULT ⁽²⁾	58,040	53,647	4,347	(46)

(1) Includes: rates and annual charges (including ex gratia, excluding water and sewer), non-capital general purpose grants, interest on investments (excluding externally restricted assets) and interest on overdue rates and annual charges (2) As reported in the Income Statement

Hilltops Council

Special Schedule 2 – Permissible income for general rates

for the year ended 30 June 2019

\$'000		2018/19	2018/19	2018/19	2018/19	2017/18	2017/18	2017/18	2017/18
		Former Boorowa Council	Former Harden Shire Council	Former Young Shire Council	Hilltops Council	Former Boorowa Council	Former Harden Shire Council	Former Young Shire Council	Hilltops Council
Notional general income calculation ⁽¹⁾									
Last year notional general income yield	a	2,530	2,907	7,351	12,788	2,479	2,884	7,054	12,417
Plus or minus adjustments ⁽²⁾	b	5	6	18	29	17	(18)	52	51
Notional general income	c = (a + b)	2,535	2,913	7,369	12,817	2,496	2,866	7,106	12,468
Permissible income calculation									
Special variation percentage ⁽³⁾	d	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Or rate peg percentage	e	2.30%	2.30%	2.30%	2.30%	1.50%	1.50%	1.50%	0.00%
crown land adjustment (incl. rate peg percentage)	f	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Less expiring special variation amount	g	–	–	–	–	–	–	–	–
Plus special variation amount	h = d x (c – g)	–	–	–	–	–	–	–	–
Or plus rate peg amount	i = c x e	58	67	169	295	37	43	107	187
plus Crown land adjustment and rate peg amount	j = c x f	–	–	–	–	–	–	–	–
Sub-total	k = (c + g + h + i + j)	2,593	2,980	7,538	13,112	2,533	2,909	7,213	12,655
Plus (or minus) last year's carry forward total	l	3	(3)	(100)	(100)	–	(5)	38	33
Less valuation objections claimed in the previous year	m	–	–	–	–	–	–	–	–
Sub-total	n = (l + m)	3	(3)	(100)	(100)	–	(5)	38	33
Total permissible income	o = k + n	2,596	2,977	7,438	13,011	2,533	2,904	7,251	12,688
Less notional general income yield	p	2,582	2,965	7,490	13,037	2,530	2,907	7,351	12,788
Catch-up or (excess) result	q = o – p	14	12	(52)	(26)	3	(3)	(100)	(100)
Plus income lost due to valuation objections claimed ⁽⁴⁾	r	–	–	–	–	–	–	–	–
Less unused catch-up ⁽⁵⁾	s	(1)	–	(38)	(39)	–	–	–	–
Carry forward to next year ⁽⁶⁾	t = q + r – s	13	12	(90)	(65)	3	(3)	(100)	(100)

Hilltops Council

Special Schedule 2 – Permissible income for general rates (continued) for the year ended 30 June 2019

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the Valuation of Land Act 1916.
- (3) The 'special variation percentage' is inclusive of the rate peg percentage and where applicable Crown land adjustment.
- (4) Valuation objections are unexpected changes in land values as a result of land owners successfully objecting to the land value issued by the Valuer-General. Councils can claim the value of the income lost due to valuation objections in any single year.
- (5) Unused catch-up amounts will be deducted if they are not caught up within 2 years. Usually councils will have a return (FDR) to administer this process.
- (6) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Special Schedule 2 in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule 2 - Permissible Income for general rates

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying Special Schedule 2 – Permissible Income for general rates (the Schedule) of Hilltops Council (the Council) for the year ending 30 June 2019.

In my opinion, the Schedule of the Council for the year ending 30 June 2019 is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting (LG Code) issued by the Office of Local Government (OLG), and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter – Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule had been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

Other information comprises the information included in the Council's annual report for the year ended 30 June 2018, other than the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and the Special Schedules excluding Special Schedule 2 (the other Schedules).

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless it is not appropriate to do so.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

My opinion does *not* provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'Lawrissa Chan', with a stylized, flowing script.

Lawrissa Chan
Director

17 September 2019
SYDNEY

Hilltops Council

Special Schedule 3 – Water Supply Income Statement

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
A Expenses and income		
Expenses		
1. Management expenses		
a. Administration	610	519
b. Engineering and supervision	390	332
2. Operation and maintenance expenses		
– dams and weirs		
a. Operation expenses	18	15
b. Maintenance expenses	12	(43)
– Mains		
c. Operation expenses	–	–
d. Maintenance expenses	590	555
– Reservoirs		
e. Operation expenses	268	228
f. Maintenance expenses	22	19
– Pumping stations		
g. Operation expenses (excluding energy costs)	–	–
h. Energy costs	64	55
i. Maintenance expenses	1	1
– Treatment		
j. Operation expenses (excluding chemical costs)	–	–
k. Chemical costs	46	39
l. Maintenance expenses	220	187
– Other		
m. Operation expenses	168	143
n. Maintenance expenses	16	13
o. Purchase of water	3,620	4,050
3. Depreciation expenses		
a. System assets	914	1,586
b. Plant and equipment	46	8
4. Miscellaneous expenses		
a. Interest expenses	–	2
b. Revaluation decrements	–	372
c. Other expenses	148	140
d. Impairment – system assets	–	–
e. Impairment – plant and equipment	–	–
f. Aboriginal Communities Water and Sewerage Program	–	–
g. Tax equivalents dividends (actually paid)	–	–
5. Total expenses	7,153	8,221

Hilltops Council

Special Schedule 3 – Water Supply Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
Income		
6. Residential charges		
a. Access (including rates)	2,453	2,300
b. Usage charges	4,192	3,744
7. Non-residential charges		
a. Access (including rates)	286	268
b. Usage charges	896	800
8. Extra charges	—	19
9. Interest income	174	234
10. Other income	79	77
10a. Aboriginal Communities Water and Sewerage Program	—	—
11. Grants		
a. Grants for acquisition of assets	—	—
b. Grants for pensioner rebates	72	76
c. Other grants	124	7
12. Contributions		
a. Developer charges	62	135
b. Developer provided assets	—	—
c. Other contributions	—	—
13. Total income	8,338	7,660
14. Gain (or loss) on disposal of assets	—	—
15. Operating result	1,185	(561)
15a. Operating result (less grants for acquisition of assets)	1,185	(561)

Hilltops Council

Special Schedule 3 – Water Supply Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
B Capital transactions		
Non-operating expenditures		
16. Acquisition of fixed assets		
a. New assets for improved standards	7	6
b. New assets for growth	18	–
c. Renewals	907	424
d. Plant and equipment	–	–
17. Repayment of debt	–	–
18. Totals	932	430
Non-operating funds employed		
19. Proceeds from disposal of assets	–	–
20. Borrowing utilised	–	–
21. Totals	–	–
C Rates and charges		
22. Number of assessments		
a. Residential (occupied)	5,890	5,873
b. Residential (unoccupied, ie. vacant lot)	221	219
c. Non-residential (occupied)	1,314	1,307
d. Non-residential (unoccupied, ie. vacant lot)	79	78
23. Number of ETs for which developer charges were received	– ET	ET
24. Total amount of pensioner rebates (actual dollars)	\$ 132,404	\$ 129,009

Hilltops Council

Special Schedule 4 – Water Supply Statement of Financial Position

Includes internal transactions, i.e. prepared on a gross basis
as at 30 June 2018

\$'000	Current	Non-current	Total
ASSETS			
25. Cash and investments			
a. Developer charges	789	–	789
b. Special purpose grants	–	–	–
c. Accrued leave	–	–	–
d. Unexpended loans	–	–	–
e. Sinking fund	–	–	–
f. Other	9,767	–	9,767
26. Receivables			
a. Specific purpose grants	–	–	–
b. Rates and availability charges	782	–	782
c. User charges	757	–	757
d. Other	–	–	–
27. Inventories	–	–	–
28. Property, plant and equipment			
a. System assets	–	41,302	41,302
b. Plant and equipment	–	372	372
29. Other assets	–	–	–
30. Total assets	12,095	41,674	53,769
LIABILITIES			
31. Bank overdraft	–	–	–
32. Creditors	21	–	21
33. Borrowings	–	–	–
34. Provisions			
a. Tax equivalents	–	–	–
b. Dividend	–	–	–
c. Other	–	315	315
35. Total liabilities	21	315	336
36. NET ASSETS COMMITTED	12,074	41,359	53,433
EQUITY			
37. Accumulated surplus			52,575
38. Asset revaluation reserve			858
39. Other reserves			–
40. TOTAL EQUITY			53,433
Note to system assets:			
41. Current replacement cost of system assets			72,618
42. Accumulated current cost depreciation of system assets			(31,316)
43. Written down current cost of system assets			41,302

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
A Expenses and income Expenses		
1. Management expenses		
a. Administration	196	227
b. Engineering and supervision	284	328
2. Operation and maintenance expenses		
– mains		
a. Operation expenses	29	34
b. Maintenance expenses	10	12
– Pumping stations		
c. Operation expenses (excluding energy costs)	–	–
d. Energy costs	22	25
e. Maintenance expenses	687	795
– Treatment		
f. Operation expenses (excl. chemical, energy, effluent and biosolids management costs)	106	123
g. Chemical costs	–	–
h. Energy costs	1	1
i. Effluent management	3	4
j. Biosolids management	–	–
k. Maintenance expenses	187	216
– Other		
l. Operation expenses	40	46
m. Maintenance expenses	–	–
3. Depreciation expenses		
a. System assets	1,123	1,279
b. Plant and equipment	49	13
4. Miscellaneous expenses		
a. Interest expenses	561	707
b. Revaluation decrements	–	12,678
c. Other expenses	183	330
d. Impairment – system assets	–	–
e. Impairment – plant and equipment	–	–
f. Aboriginal Communities Water and Sewerage Program	–	–
g. Tax equivalents dividends (actually paid)	–	–
5. Total expenses	3,481	16,818

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
Income		
6. Residential charges (including rates)	3,670	3,846
7. Non-residential charges		
a. Access (including rates)	276	50
b. Usage charges	97	98
8. Trade waste charges		
a. Annual fees	16	16
b. Usage charges	1	3
c. Excess mass charges	–	–
d. Re-inspection fees	–	–
9. Extra charges	–	1
10. Interest income	117	173
11. Other income	–	15
11a. Aboriginal Communities Water and Sewerage Program	–	–
12. Grants		
a. Grants for acquisition of assets	–	581
b. Grants for pensioner rebates	61	64
c. Other grants	–	–
13. Contributions		
a. Developer charges	–	–
b. Developer provided assets	33	73
c. Other contributions	–	–
14. Total income	4,271	4,920
15. Gain (or loss) on disposal of assets	–	–
16. Operating result	790	(11,898)
16a. Operating result (less grants for acquisition of assets)	790	(12,479)

Hilltops Council

Special Schedule 5 – Sewerage Service Income Statement (continued)

Includes all internal transactions, i.e. prepared on a gross basis
for the year ended 30 June 2018

\$'000	2018	13/5/16 to 30/6/17
B Capital transactions		
Non-operating expenditures		
17. Acquisition of fixed assets		
a. New assets for improved standards	–	–
b. New assets for growth	35	–
c. Renewals	551	13
d. Plant and equipment	–	–
18. Repayment of debt	4,845	–
19. Totals	5,431	13
Non-operating funds employed		
20. Proceeds from disposal of assets	–	–
21. Borrowing utilised	–	–
22. Totals	–	–
C Rates and charges		
23. Number of assessments		
a. Residential (occupied)	4,747	4,712
b. Residential (unoccupied, ie. vacant lot)	173	171
c. Non-residential (occupied)	1,478	1,468
d. Non-residential (unoccupied, ie. vacant lot)	37	34
24. Number of ETs for which developer charges were received	– ET	ET
25. Total amount of pensioner rebates (actual dollars)	\$ 111,574	\$ 115,006

Hilltops Council

Special Schedule 6 – Sewerage Service Statement of Financial Position

Includes internal transactions, i.e. prepared on a gross basis
as at 30 June 2018

\$'000	Current	Non-current	Total
ASSETS			
26. Cash and investments			
a. Developer charges	58	—	58
b. Special purpose grants	—	—	—
c. Accrued leave	—	—	—
d. Unexpended loans	—	—	—
e. Sinking fund	—	—	—
f. Other	3,872	—	3,872
27. Receivables			
a. Specific purpose grants	—	—	—
b. Rates and availability charges	388	—	388
c. User charges	—	—	—
d. Other	—	—	—
28. Inventories	—	—	—
29. Property, plant and equipment			
a. System assets	—	41,426	41,426
b. Plant and equipment	—	966	966
30. Other assets	—	—	—
31. Total assets	4,318	42,392	46,710
LIABILITIES			
32. Bank overdraft	—	—	—
33. Creditors	65	—	65
34. Borrowings	378	7,425	7,803
35. Provisions			
a. Tax equivalents	—	—	—
b. Dividend	—	—	—
c. Other	51	—	51
36. Total liabilities	494	7,425	7,919
37. NET ASSETS COMMITTED	3,824	34,967	38,791
EQUITY			
38. Accumulated surplus			38,021
39. Asset revaluation reserve			770
40. Other reserves			—
41. TOTAL EQUITY			38,791
Note to system assets:			
42. Current replacement cost of system assets			67,825
43. Accumulated current cost depreciation of system assets			(26,399)
44. Written down current cost of system assets			41,426

Hilltops Council

Notes to Special Schedules 3 and 5

for the year ended 30 June 2018

Administration ⁽¹⁾

(item 1a of Special Schedules 3 and 5) comprises the following:

- Administration staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.
- Meter reading
- Bad and doubtful debts
- Other administrative/corporate support services

Engineering and supervision ⁽¹⁾

(item 1b of Special Schedules 3 and 5) comprises the following:

- Engineering staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.
- Other technical and supervision staff:
 - Salaries and allowance
 - Travelling expenses
 - Accrual of leave entitlements
 - Employment overheads.

Operational expenses (item 2 of Special Schedules 3 and 5) comprise the day to day operational expenses excluding maintenance expenses.

Maintenance expenses (item 2 of Special Schedules 3 and 5) comprise the day to day repair and maintenance expenses. (Refer to Section 5 of the Local Government Asset Accounting Manual regarding capitalisation principles and the distinction between capital and maintenance expenditure).

Other expenses (item 4c of Special Schedules 3 and 5) includes all expenses not recorded elsewhere.

Revaluation decrements (item 4b of Special Schedules 3 and 5) is to be used when I,PP&E decreases in FV.

Impairment losses (item 4d and 4e of Special Schedules 3 and 5) are to be used when the carrying amount of an asset exceeds its recoverable amount (refer to page D-31).

Aboriginal Communities Water and Sewerage Program (item 4f of Special Schedules 3 and 5) is to be used when operation and maintenance work has been undertaken on behalf of the Aboriginal Communities Water and Sewerage Program. Similarly, income for item 11a of Special Schedule 3 and item 12a of Special Schedule 5 are for services provided to the Aboriginal Communities Water and Sewerage Program and is not part of Council's water supply and sewerage revenue.

Residential charges ⁽²⁾ (items 6a, 6b and item 6 of Special Schedules 3 and 5 respectively) include all income from residential charges. Item 6 of Schedule 3 should be separated into 6a access charges (including rates if applicable) and 6b usage charges.

Non-residential charges ⁽²⁾ (items 7a, 7b of Special Schedules 3 and 5) include all income from non-residential charges separated into 7a access charges (including rates if applicable) and 7b usage charges.

Trade waste charges (item 8 of Special Schedule 5) include all income from trade waste charges separated into 8a annual fees, 8b usage charges and 8c excess mass charges and 8d re-inspection fees.

Other income (items 10 and 11 of Special Schedules 3 and 5 respectively) include all income not recorded elsewhere.

Other contributions (items 12c and 13c of Special Schedules 3 and 5 respectively) including capital contributions for water supply or sewerage services received by Council under Section 565 of the *Local Government Act*.

Notes:

⁽¹⁾ Administration and engineering costs for the development of capital works projects should be reported as part of the capital cost of the project and not as part of the recurrent expenditure (ie. in item 16 for water supply and item 17 for sewerage, and **not** in items 1a and 1b).

⁽²⁾ To enable accurate reporting of **residential revenue from usage charges**, it is essential for councils to accurately separate their residential (item 6) charges and non-residential (item 7) charges.

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2018

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2017/18 Required maintenance ^a	2017/18 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Buildings												
	Specialisd Buildings	152	5	135	138	10,787	22,770	1%	6%	90%	3%	0%
	Non Specialised Buildings	1,528	35	470	474	50,600	91,328	6%	24%	62%	0%	8%
	Specialised Buildings Water			1	1	18	18	100%	0%	0%	0%	0%
	Specialised Buildings Sewer			4	4	355	520	7%	74%	8%	0%	12%
	Sub-total	1,680	40	610	617	61,760	114,636	5.1%	20.5%	67.2%	7.0%	0.2%
Other structures												
	Other structures	900	282	88	128	3,777	7,666	31%	12%	19%	20%	18%
	Sub-total	900	282	88	128	3,777	7,666	30.5%	11.7%	19.4%	20.1%	18.3%

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2018 (continued)

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2017/18 Required maintenance ^a	2017/18 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Roads												
	Bridges	1,808	377	735	73	28,476	53,461	14%	24%	48%	4%	10%
	Footpaths	49	8	52	48	5,657	7,863	44%	22%	31%	1%	2%
	K&G	245	84	127	65	7,848	15,571	12%	15%	68%	3%	2%
	Roads	8,656	2,136	4,323	5,280	222,605	328,135	24%	37%	29%	3%	7%
	Earthworks					95,290	95,290	100%	0%	0%	0%	0%
	Sub-total	10,758	2,605	5,237	5,466	359,876	500,320	37.6%	27.3%	27.0%	5.5%	2.6%
Water supply network												
	Water Supply network	1,885	716	531	662	36,862	63,655	10%	36%	45%	4%	6%
	Reservoirs	1,074	449	87	60	4,031	8,258	28%	8%	26%	11%	27%
	Pump Stations	53		43	8	382	674	31%	16%	13%	40%	0%
	Other			80	25	26	31	100%				0%
	Sub-total	3,012	1,165	741	755	41,301	72,618	12.4%	32.4%	42.5%	4.7%	8.0%
Sewerage network												
	Sewerage network	1,499	18	245	73	23,482	41,194	24%	13%	45%	18%	0%
	Treatment Plant	2,502	1,251	378	364	16,682	26,265	70%	1%	4%	0%	25%
	Pump Stations	184	77	45	63	877	2,020	4%	13%	57%	7%	19%
	Other	543	271	123	22	385	1,731	0%	21%	0%	0%	78%
	Sub-total	4,728	1,617	791	522	41,426	71,210	40.1%	8.5%	29.0%	10.5%	11.9%

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets as at 30 June 2018 (continued)

\$'000

Asset class	Asset category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2017/18 Required maintenance ^a	2017/18 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
								1	2	3	4	5
Stormwater drainage	Stormwater drainage	71	1	41	387	8,202	22,884	1%	4%	94%	2%	0%
	Stormwater Pits	65		61		2,267	3,970	27%	3%	61%	8%	0%
	Stormwater Headwalls	59		1		737	1,111	56%	2%	16%	26%	0%
	Pollutant Traps			5		151	163	0%	0%	100%	0%	0%
	Other			15		155	292	0%	0%	100%	0%	0%
	Sub-total	195	1	123	387	11,512	28,420	7.0%	3.5%	86.1%	3.4%	0.0%
Open space/recreational assets	Swimming pools	839	292	356	120	4,243	8,073	2%	31%	34%	16%	17%
	Other	220		220	92	6,681	10,832	27%	25%	38%	10%	0%
	Sub-total	1,059	292	576	212	10,924	18,905	16.3%	27.3%	36.1%	12.6%	7.7%
	TOTAL – ALL ASSETS	22,332	6,002	8,166	8,087	530,576	813,775	29.3%	24.2%	36.4%	6.3%	3.7%

Notes:

a Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets (continued) for the year ended 30 June 2018

	Amounts 2018	Indicator 2018	Indicator 2017	Benchmark
Infrastructure asset performance indicators * consolidated				
1. Buildings and infrastructure renewals ratio ⁽¹⁾				
Asset renewals ⁽²⁾	14,053	104.72%	78.57%	>= 100%
Depreciation, amortisation and impairment	13,419			
2. Infrastructure backlog ratio ⁽¹⁾				
Estimated cost to bring assets to a satisfactory standard	22,332	4.21%	6.46%	< 2.00%
Net carrying amount of infrastructure assets	530,955			
3. Asset maintenance ratio				
Actual asset maintenance	8,087	99.03%	97.82%	> 100%
Required asset maintenance	8,166			
4. Cost to bring assets to agreed service level				
Estimated cost to bring assets to an agreed service level set by Council	6,002	0.74%	1.06%	
Gross replacement cost	813,775			

Notes

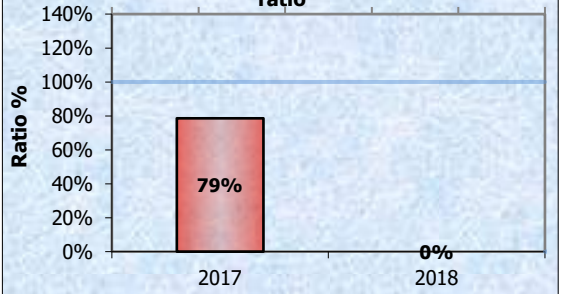
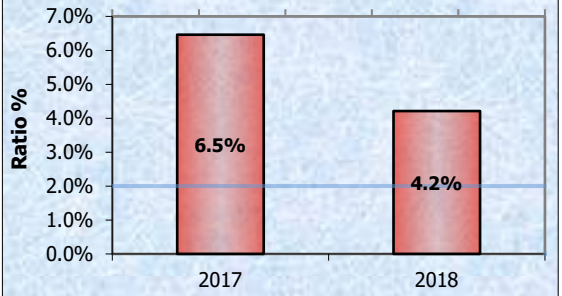
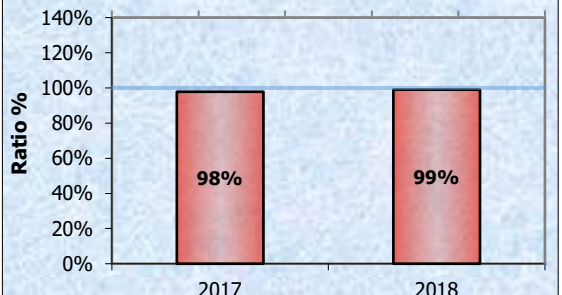
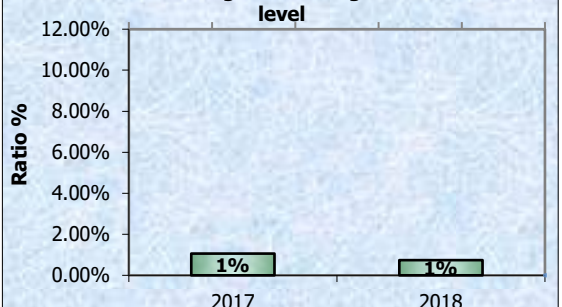
* All asset performance indicators are calculated using the asset classes identified in the previous table.

⁽¹⁾ Excludes Work In Progress (WIP)

⁽²⁾ Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity / performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets (continued) for the year ended 30 June 2018

1. Buildings and infrastructure renewals ratio  Benchmark: — Minimum $\geq 100.00\%$ Source for benchmark: Code of Accounting Practice and Financial Reporting #26	Purpose of asset renewals ratio To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.	Commentary on 2017/18 result 2017/18 Ratio 0.00% Council has invested heavily during the year in replacing ageing assets. This has largely been achieved through increases in external grant funding. Council has increased renewal expenditure on infrastructure assets by over 26% and has exceeded the industry benchmark of 100%.
2. Infrastructure backlog ratio  Benchmark: — Maximum $< 2.00\%$ Source for benchmark: Code of Accounting Practice and Financial Reporting #26	Purpose of infrastructure backlog ratio This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.	Commentary on 2017/18 result 2017/18 Ratio 4.21% Council has made significant gains in reducing the infrastructure backlog in 2017/18. The ratio has improved by 2.25% over 2016/17 but still remains above the industry benchmark. The focus of the Council in 2018/19 is to reduce the backlog further and meet the industry benchmark by 2019/20.
3. Asset maintenance ratio  Benchmark: — Minimum $> 100.00\%$ Source for benchmark: Code of Accounting Practice and Financial Reporting #26	Purpose of asset maintenance ratio Compares actual vs. required annual asset maintenance. A ratio above 100% indicates Council is investing enough funds to stop the infrastructure backlog growing.	Commentary on 2017/18 result 2017/18 Ratio 99.03% Council has provided more funding for asset maintenance in 2017/18 and achieved a significant improvement in this ratio compared to previous years. Council now sits less than 1% outside the industry benchmark. Continued improvements in maintenance funding should see Council achieve the benchmark in 2018/19.
4. Cost to bring assets to agreed service level 	Purpose of agreed service level ratio This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.	Commentary on 2017/18 result 2017/18 Ratio 0.74% Council has invested significant funding in 2017/18 to reduce the cost that is required to bring assets up to the Council standard has set for assets under its care. This ratio has improved over 30% compared to 2017/18.. The 2018/19 Capital works program has also set aside significant funding to further reduce this asset backlog.

Hilltops Council

Special Schedule 7 – Report on Infrastructure Assets (continued)

for the year ended 30 June 2018

	General indicators ⁽¹⁾		Water indicators		Sewer indicators		Benchmark
	2018	2017	2018	2017	2018	2017	
Infrastructure asset performance indicators by fund							
1. Buildings and infrastructure renewals ratio ⁽²⁾							
Asset renewals ⁽³⁾							
Depreciation, amortisation and impairment	0.00%	57.25%	0.00%	47.14%	0.00%	327.74%	>= 100%
2. Infrastructure backlog ratio ⁽²⁾							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	3.26%	4.61%	7.29%	20.35%	11.41%	7.83%	< 2.00%
3. Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	102.65%	101.18%	101.89%	101.52%	65.99%	65.93%	> 100%
4. Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	0.48%	0.44%	1.60%	5.43%	2.27%	2.41%	

Notes

⁽¹⁾ General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

⁽²⁾ Excludes Work In Progress (WIP)

⁽³⁾ Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.